

Introduction to assessments [¶4-010]

[¶4-010]

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For income tax purposes, an assessment is defined as an assessment of tax by either a taxpayer or the Commissioner, any amendment made by the Commissioner to an assessment and an assessment of net loss, terminal tax or a refund. Under the Goods and Services Tax Act 1985, an assessment means an assessment of a GST refund.

Taxpayers who are required to file income tax returns ([¶2-010](#)) must assess their own tax liabilities. A notice of self-assessment is required with the taxpayer's return of income. These taxpayers are responsible for:

- # considering the facts relating to their own financial affairs
- # interpreting and applying the law to those facts
- # determining the amount of tax owing, and
- # making that determination with an appropriate degree of finality.

The assessment is made on the date that Inland Revenue (IR) receives the return.

For individuals to whom Pt 3, subpart 3B of the Tax Administration Act 1994 (TAA) applies ([¶2-016](#)), they are treated as having made an assessment on the date their pre-populated account is finalised under s [22H](#).

Self-assessment does not apply to a taxpayer if the taxpayer has been assessed by the Commissioner.

The liability for tax exists whether or not a taxpayer assesses their own liability. Consequently, the late filing penalty continues to apply.

The Commissioner has the power to issue default assessments or assessments following an investigation.

Law: TAA ss [3\(1\)](#) ("[assessment](#)"), [33](#), [92](#)

Last reviewed on 31 December 2025

Commissioner's statutory assessing function [¶4-020]

[¶4-020]

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Two points should be noted in relation to the Commissioner's statutory assessing function (ie generally, to make default or amended assessments). First, when the Commissioner is discharging this statutory assessing function, the Commissioner is performing a duty imposed on them in imperative and unconditional terms. See *C of IR v Lemmington Holdings Ltd* (1982) 5 NZTC 61,268. Secondly, the Commissioner's statutory functions are directed to the quantification of the liability for tax which is imposed by the statute itself. The Commissioner may not be estopped by their past conduct from performing their statutory obligations in making assessments reflecting their current judgment as to that statutorily imposed liability. See *North Island Wholesale Groceries Ltd v Hewin* (1982) 5 NZTC 61,289, *Case S74* (1996) 17 NZTC 7,459, *Golden Bay Cement Co Ltd v C of IR* (1996) 17 NZTC 12,580.

Example:

The making of an assessment, including an amended assessment, requires the exercise of judgment on the part of the Commissioner in quantifying that liability on the information then in the Commissioner's possession. It involves the ascertainment of the taxable income and of the resulting tax liability. A decision that is tentative, provisional, conditional or subject to adjustment is not an assessment within the meaning of the tax legislation. To constitute an assessment for income tax purposes, the Commissioner's decision must be definitive as to the liability of the taxpayer at the time it was made and final subject only to challenge through the objection process. See *C of IR v Canterbury Frozen Meat Co Ltd* (1994) 16 NZTC 11,150.

An assessment by the Commissioner is made as part of the care and management function imposed by ss 6 and 6A of the TAA (¶11-512).

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Non-arbitrary assessment [¶4-030]

[¶4-030]

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When making an assessment, the Commissioner is not entitled to act arbitrarily in disregard of the law or the facts as known to them. If their assessment is not made on an intelligible basis, it may not stand.

Example:

In formulating an assessment, the Commissioner might be required to exercise their judgment in determining the assessable income of the taxpayer. The taxpayer would be able to discharge the onus of proof if they could show that the Commissioner's assessment was no more than arbitrary conjecture or was demonstrably unfair, or was unsupportable for lack of any sensible basis. See *Lowe v C of IR* (1981) 5 NZTC 61,006.

Example:

Three alternative notices of amended assessment issued simultaneously to a taxpayer were void. The Commissioner had issued the assessments because they considered that there were at least 3 ways of calculating the tax benefit received by the taxpayer. In judicial review proceedings, the Federal Court held that the assessments were invalid because the taxpayer's liability was not fixed. See *Stokes v FC of T* 96 ATC 4393.

Example:

A rigid following of IR policy, and a failure by the Commissioner to properly consider and weigh the merits of a taxpayer's position, led to the Court of Appeal finding that the Commissioner's decision not to exercise their discretion and make certain adjustments and issue reassessments was not a valid exercise of that discretion. See *Lawton v C of IR* (2003) 21 NZTC 18,042.

Last reviewed on 31 December 2025

Notice of assessment [¶4-040]

[¶4-040]

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A return of income filed by a taxpayer must contain notice of the self-assessment made by the taxpayer.

The finalisation of certain pre-populated accounts are deemed to be assessments ([¶4-044](#)).

As soon as it is convenient after an assessment has been made by the Commissioner, the Commissioner must give notice of the assessment to the taxpayer. The Commissioner need notify the taxpayer of only the amount of tax payable or the tax refund (as appropriate) if:

- # the taxpayer's self-assessment is correct
- # the assessment is a default assessment
- # the assessment is a deemed assessment on the finalisation of the taxpayer's pre-populated account
- # the assessment is made as a result of a taxpayer's failure to inform the Commissioner that details in a pre-populated account are incorrect or incomplete, or
- # the Commissioner issues a separate statement setting out the matters required to be specified in the assessment.

Any failure on the part of the Commissioner to give to the taxpayer a notice of assessment does not invalidate that assessment (s [111](#) of the TAA).

The rules for giving notice are discussed in [¶1-645](#).

If the Commissioner makes an assessment in relation to GST payable for goods sold in satisfaction of debt, the Commissioner is required to send a copy of the assessment to the person whose goods were sold or the person selling the goods, whoever was not assessed.

The assessment process performed by the Commissioner is distinct from the requirement to give the taxpayer a notice of assessment. In *C of IR v Hyslop* ([2000](#)) [19 NZTC 15,560](#) (reversing Case T49 ([1998](#)) [18 NZTC 8,335](#)), the High Court held that it is not a fundamental part of the assessment process that the objector be notified of the reasons for the assessment. The assessment process is complete before the obligation to give notice arises. Even if a notice of assessment should contain reasons, a failure to give proper reasons does not invalidate the assessment. This decision was affirmed on appeal in *Hyslop v C of IR* ([2001](#)) [20 NZTC 17,031 \(CA\)](#). See also *Dandelion Investments Ltd v C of IR* ([2003](#)) [21 NZTC 18,010 \(CA\)](#).

Assessments and determinations made by a computer or other electronic means as a result of information entered or held in the computer are treated as made by or under the properly delegated authority of the Commissioner (s [105](#) of the TAA).

Validity of assessment

The validity of an assessment made by the Commissioner is not affected by any non-compliance with the TAA or any of the Inland Revenue Acts (listed in Sch [1](#) to the TAA).

An assessment made by the Commissioner is also not invalidated if it is made wholly or partially in compliance with (s [114](#)):

- # a direction or recommendation made by an authorised officer on matters relating to the assessment, or
- # an approved current policy or practice that is applicable to the assessment.

Law: TAA ss [33](#), [105](#), [111](#), [114](#)

Last reviewed on 31 December 2025

Finalisation of pre-populated account deemed to be an assessment [¶4-044]

[¶4-044]

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Changes to individuals' year-end tax obligations have been made in recent years to ensure that most individuals pay what they need to and receive what they are entitled to during the year, without the need to file returns or claim refunds. The changes apply from 1 April 2019 for the year-end processes for the 2018–19 and later income years and are fully discussed at [¶2-016](#).

In summary, by receiving regular income information throughout the year, IR will ensure individuals are on the appropriate tax code or rate and that about the right amount of tax is withheld throughout the year. A pre-populated account based on all the income information held will then be created. For most individuals, their tax position (refund or tax to pay) will effectively be automatically calculated. Essentially, only those people who earn income or have deductions that IR does not already know about will have to provide further information. Once the information in the pre-populated account is complete and correct, the account will then be finalised.

The final account of an individual is treated as a return of income and an assessment, and the individual is treated as having made a statement of their tax position (s [22I\(1\)](#) of the TAA). The date of the assessment is the date the individual's pre-populated account is finalised (s [22I\(2\)](#)). If the individual does not satisfy the Commissioner that their income is correctly and completely recorded in their pre-populated account, the date the assessment is made is when the Commissioner provides a default assessment under s [106](#) of the TAA (s [22I\(3\)](#)).

In addition, if the Commissioner considers that the information provided in an individual's final account is not likely to be correct, the Commissioner may make a default assessment under s [106\(1A\)](#) of the TAA.

In any event, the Commissioner must notify an individual when the assessment is made ([¶4-040](#)).

Law: TAA ss [22H](#), [22I](#), [92](#), [106](#)

Last reviewed on 31 December 2025

Assessment of ancillary taxes [¶4-055]

[¶4-055]

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The TAA provides for the assessment of certain ancillary taxes including fringe benefit tax (FBT), employer's superannuation contribution tax (ESCT), retirement scheme contribution withholding tax, resident withholding tax (RWT) and non-resident withholding tax (NRWT), imputation penalty tax, Māori authority distribution penalty tax, R&D repayment tax, further income tax, imputation additional tax and multinational top-up tax.

A GST-registered person must make a self-assessment of GST payable in a return period. The assessment is made on the date that IR receives the GST return. Self-assessment of GST does not apply for a GST return period if the Commissioner has made an assessment of GST payable for that period.

Law: TAA ss [92B](#), [93](#), [97–101B](#)

Last reviewed on 31 December 2025

Special assessment [T4-060]

[T4-060]

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In extraordinary circumstances, special assessments may be made based on special returns requested by the Commissioner. Examples include a non-resident trader, a person believed to be about to leave New Zealand or a person who has become bankrupt. The basic rates may be used when an early assessment is made. When necessary, that early assessment will be adjusted if the annual taxing Act subsequently alters the rates applicable to the year of income.

Law: TAA ss [44](#), [92A](#)

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Default assessment [¶4-070]

[¶4-070]

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The Commissioner may make an estimated assessment if a taxpayer fails to make a return (including a GST return), files an unsatisfactory return or disputes being a taxpayer. Under such an assessment, commonly referred to as a “default assessment”, the taxpayer must either pay the amount assessed or prove that the estimate is wrong or excessive. The onus is on the taxpayer to establish that the assessment is wrong and by how much. The Commissioner usually makes a default assessment on an estimated figure likely to be higher than the income actually earned. The use of the default assessment procedure is an effective way of ensuring that actual returns are furnished. If the default assessments do not have some credible or reasonable basis, the taxpayer’s return may be accepted as being the more correct of the two. See Case F144 (1984) 6 NZTC 60,270.

The Commissioner may also issue an assessment for the amount of tax that the Commissioner considers ought to be imposed when they consider the information provided in an individual’s final account is not likely to be correct. The Commissioner may also issue a default assessment where an individual considers an error has arisen in their pre-populated or final account but they do not notify the Commissioner or provide the information to correct the account (¶2-016 and ¶4-044).

Law: TAA s [106](#)

Last reviewed on 31 December 2025

Effect of assessment [¶4-080]

[¶4-080]

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The assessment process does not itself impose the liability to pay tax; as McCarthy J pointed out in *Reckitt and Colman (New Zealand) Ltd v Taxation Board of Review* [1966] NZLR 1032, it is the Income Tax Act itself that imposes, independently, the obligation to pay tax, the assessment process being merely the machinery for quantifying the amount of tax due.

Section [109](#) of the TAA provides that, except in objection proceedings under Pt [8](#) or a challenge under Pt [8A](#), a disputable decision shall be conclusively deemed to be correct and the taxpayer's liability determined accordingly. (A disputable decision is an assessment or some other decision made by the Commissioner which is open to objection or challenge proceedings and includes certain discretionary powers available to the Commissioner in the disputes resolution process — see definition of “disputable decision” in s [3\(1\)](#).)

The general proposition is that a taxpayer may challenge the correctness of an assessment only by invoking the appropriate challenge procedures provided for under the TAA. The same proposition applies to one of the Commissioner's determinations. The possibility of a challenge to an assessment outside the scope of the statutory procedures, by way of judicial review, is discussed at [¶4-275](#).

An assessment can also affect the Commissioner's powers of recovery. *Hieber v C of IR* ([2000](#)) [19 NZTC 15,716](#) held that the Commissioner can apply s [157](#) of the TAA ([¶12-190](#)) to require deductions to be made from amounts payable to a person owing tax, once an assessment triggering a liability to pay non-deferrable tax has been issued. (Note that there is now no definition of “non-deferrable tax” accompanying the definition of “[deferrable tax](#)”.)

Law: TAA ss [3\(1\)](#) (“[disputable decision](#)”), [109](#)

Last reviewed on 31 December 2025

Amended assessment [¶4-090]

[¶4-090]

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The Commissioner is authorised under s [113](#) of the TAA to make any alterations to an assessment in order to ensure the correctness of that assessment, notwithstanding that the tax already assessed may have been paid. If any such alteration or addition has the effect of imposing any fresh liability or increasing any existing liability, the Commissioner must issue a notice of proposed adjustment (NOPA) to the taxpayer. A NOPA is most commonly issued after an audit by the Commissioner. If issues are identified during the course of the audit and agreement on them cannot be reached, the Commissioner issues the NOPA. This will lead to full disclosure and statement of position (SOP) by each party ([¶4-185](#)).

Amending an assessment during the disputes process

The Commissioner's power to amend an assessment under s [113](#) of the TAA is restricted if all of the following criteria are satisfied:

- # a NOPA has been issued
- # the dispute has not been resolved by agreement between the Commissioner and the disputant, and
- # none of the following situations (set out in s [89N\(1\)\(c\)](#)) apply:
 - # the Commissioner notifies the disputant that, in the Commissioner's opinion, the disputant has committed an offence under an Inland Revenue Act in the course of the dispute and this has delayed the completion of the disputes process
 - # the Commissioner has reasonable grounds to believe that the disputant, or an associated person of the disputant, might take steps in relation to the disputant's assets to avoid or delay the collection of tax from the disputant
 - # the disputant has begun judicial review proceedings in relation to the dispute
 - # an associated person of the disputant involved in another dispute with the Commissioner on similar issues has begun judicial review proceedings in relation to that other dispute
 - # the disputant has failed to comply, within the specified period, with a requirement under a statute to produce information received from the Commissioner relating to the dispute
 - # the disputant and the Commissioner agree, recording their agreement in a document, that they have reached a position in which the dispute would be resolved more efficiently by being submitted to the court or Taxation Review Authority (TRA) without completion of the disputes process — also known as truncation of the disputes resolution process ([¶4-179](#)), or
 - # the disputant and the Commissioner agree, recording their agreement in a document, to suspend proceedings in the disputes process pending a decision in a test case ([¶4-250](#)) or
 - # the NOPA is accepted.

If the above criteria are satisfied, the Commissioner will not be able to amend an assessment under s [113](#) until one of the following events has occurred:

- # the Commissioner or the disputant accepts a NOPA, notice of response (NOR) or SOP issued by the other party, or
- # the Commissioner considers a SOP issued by the disputant.

This restriction will not prevent the Commissioner from making an application to the High Court for an order that allows more time for the completion of the disputes process or for an order that completion of the disputes process is not required (s [89N\(2\)](#) of the TAA and *C of IR v Rabobank New Zealand Ltd* ([2009](#)) [24 NZTC 23,170](#)). Such an application must be made within the period of time during which the Commissioner would otherwise be required to make an amended assessment.

If an application is made to the High Court for an extension of time to complete the disputes process or for an order that the disputes process is not required, the Commissioner will be required to make an amended assessment by the last day of the period that:

begins on the day following the day by which the Commissioner, in the absence of the application, would be required to make the amended assessment, and
contains the total of:

the number of days between the date the application is filed in the High Court by the Commissioner and the earlier of the date of the High Court's decision or the date the dispute is resolved, and
the number of days allowed by an order of the court as a result of the application.

See standard practice statement, [SPS 23/01](#), "Disputes process".

Refunds

For commentary on assessments or reassessments and the Commissioner's duty to refund excess tax paid, see [¶2-145](#).

IR10 and amended assessments

Taxpayers may file an [IR10](#) form with their income tax returns instead of attaching a full set of financial statements. IR's policy on reopening assessments where an [IR10](#) is filed in substitution for financial statements is set out in operational statement [OS 16/01](#), "Filing an IR 10 and section 108 of the Tax Administration Act 1994". The statement sets out the Commissioner's preference for the majority of taxpayers to file an [IR10](#) rather than financial statements to bring income to the attention of the Commissioner when filing their annual return. The statement amalgamates and replaces all previous items published by the Commissioner about income disclosure using an [IR10](#) and the impact of this on the time bar under s 108 of the TAA, and applies to all decisions that may require the re-opening of a return made on or after 26 May 2016.

The statement makes clear the Commissioner can reopen a statute-barred assessment if the return was fraudulent or wilfully misleading, regardless of which method was used to disclose income.

In the case of omission of income:

If the [IR10](#) discloses the income, gain or receipt, the time bar will apply.

Where the [IR10](#), although fully completed and consistent with the financial statements, does not disclose the income, gain or receipt due to limitations in the [IR10](#) form, the following approach will apply:

If the unfiled financial statements disclose the income, gain or receipt, the return will not be amended even though the financial statements were not sent to IR at the time the income tax return was filed.

If neither the [IR10](#) nor the unfiled financial statements disclose the income, gain, or receipt, the return will be subject to Critical Task Assurance and review by senior Service Delivery management to determine whether the time bar applies.

The statement notes that this approach will not apply if an [IR10](#) is filed, instead of a financial statement, in 2 circumstances — reconstructed income and aggressive tax schemes or tax avoidance.

Self-assessment of tax liability

Under the disputes resolution process, a taxpayer may dispute an assessment made by the Commissioner. However, self-assessment means that the Commissioner no longer makes the initial assessment. Therefore, taxpayers disputing an initial assessment are, in effect, "disputing" their own assessment. Although the taxpayers' ability to amend their own assessments might be seen as inconsistent with the necessary element of finality that characterises an assessment, an advantage to taxpayers in being able to dispute an assessment is to eliminate their exposure to shortfall penalties.

The taxpayers' right to amend their own assessments is retained under self-assessment in accordance with s [89DA](#) of the TAA. The amendments are initiated by a NOPA.

A taxpayer has 4 months to amend the taxpayer's own assessment. The 4-month period begins on the date on which the taxpayer's notice of assessment is received at an IR office.

#Note: There was arguably a loophole in the disputes procedures that allowed a taxpayer to circumvent the time limit for challenging an assessment. This involved the taxpayer making a voluntary disclosure for a particular item, which arguably allowed them to reopen the entire original assessment, circumventing the time limit. However, from 30 March 2021, an amendment closed this potential loophole by providing that if the assessment by the taxpayer is an amended assessment, the taxpayer's entitlement to dispute the assessment is limited to disputing a new or increased liability imposed.

Taxpayers must also self-assess their GST liability and have the right to amend their GST assessments within 4 months of the date on which the self-assessment is received at an IR office.

See also [SPS 23/01](#), "Disputes process".

Commissioner's practice

Standard practice statement [SPS 20/03](#), "Requests to amend assessments", outlines the exercise of the Commissioner's discretion to amend assessments to ensure that they are correct. The statement applies in respect of the exercise of the Commissioner's discretion to amend assessments under s [113](#) of the TAA. The statement applies from 2 June 2020 and replaces all previous statements on the exercise of the Commissioner's discretion under s [113](#).

For further discussion on the exercise of the Commissioner's discretion to amend assessments, see [¶2-112](#).

Amendment of minor errors in returns

For commentary on a taxpayer's ability to correct minor, or not material, errors made in a return in a subsequent return, see [¶2-112](#) and s [113A](#) of the TAA.

Law: TAA ss [89AB\(3\)](#), [89DA](#), [89N](#), [113](#), [113A](#)

Last reviewed on 31 December 2025

Assessments corrected without entering disputes process [14-095]

[14-095]

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Certain qualifying taxpayers can have their income tax assessments corrected without issuing a NOPA. A “qualifying individual” is a person whose income in a tax year is constituted only of “reportable income”. Reportable income is the types of income IR regularly receives information on during the course of a tax year up to 31 May following the end of the tax year. It is typically income like employment income with PAYE withheld by employers and interest income from banks which withhold RWT and NRWT at source which is reported against the individual's IRD number ([12-112](#) and [SPS 20/03](#), “Requests to amend assessments”).

Law: TAA s [22D\(2\)](#) and [22D\(3\)](#), [22G](#) and [113](#)

Last reviewed on 31 December 2025

Limitation of time and Commissioner's power to amend assessments [¶4-110]

[¶4-110]

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The Commissioner's power to issue amended assessments is subject to a 4-year time limit. The concept of an assessment in the time bar rule includes all lawful amendments that may have been made to the original assessment: *Dandelion Investments Ltd v C of IR* (2000) 19 NZTC 15,585 (CA) at 15,588. *Dandelion Investments* dealt with s 25(1) of the Income Tax Act 1976, now s 108 of the TAA. The Court of Appeal noted that, generally, there is a cumulative process when an assessment is made and then amended. The normal and natural effect of an amendment is that the 2 or more assessments must be read together.

The Commissioner cannot issue an amended assessment increasing the liability for tax (or decreasing the amount of a net loss) once 4 years have elapsed from the end of the tax year in which the tax return was filed. The limitation periods do not apply in circumstances in which:

- # the Commissioner considers that the return is fraudulent or wilfully misleading, or
- # the return omits mention of income of a particular nature or from a particular source.

Example:

The Commissioner issued reassessments for a taxpayer under s 25 of the Income Tax Act 1976 (now s 108 of the TAA) on the basis that the returns failed to disclose rental income or profits on the sale of 2 properties. In the course of their decision, the TRA expressed the view that it was necessary only for the Commissioner to form an opinion, in good faith and on reasonable grounds, that returns were fraudulent or wilfully misleading or omitted to mention a particular type of income. See Case M83 (1990) 12 NZTC 2,498.

Example:

A tax return found to be wilfully misleading enabled the Commissioner to reopen a taxpayer's return so as to issue a reassessment for the 1989 income year.

The taxpayer company filed its return for the 1989 year, signed by its principal. The return, so the TRA found, omitted to disclose the fact that a contingent liability to pay the balance purchase price of certain bloodstock had been eliminated by a subsequent agreement. The company's accountants had prepared the return, but the principal had deliberately closed his eyes to the consequences of not alerting them to the full facts.

The Commissioner was entitled to form the opinion that the 1989 return was wilfully misleading by substantially overstating the company's sundry creditors. The 1989 return could therefore be reopened and reassessed: see Case W26 (2003) 21 NZTC 11,263. However, the Commissioner was unable to support the 1989 reassessment under the Income Tax Act 1994. The Commissioner was also confined to the grounds upon which the Commissioner made the assessment. See Case W31 (2004) 21 NZTC 11,311.

Example:

The TRA upheld the Commissioner's decisions under s 108(2) to open the time bar and amend the taxpayers' assessments, and also held that shortfall penalties for gross carelessness should be imposed. The TRA held that there was sufficient evidential basis to enable the Commissioner to form an honest opinion that the income tax returns in the relevant years were fraudulent or wilfully misleading. Therefore, the Commissioner was entitled to open the time bar.

Having the knowledge and intention that the tax returns are wrong or being reckless as to whether or not the tax returns are wrong can be sufficient to meet the "fraudulent or wilfully misleading" test under s 108(2) (*Babington v C of IR* (No 2) [1958] NZLR 152; Case K48 (1988) 10 NZTC 397 cited).

The TAA provides for 2 distinct steps as part of the reassessment process when the time bar created by s 108(10) of the TAA applies. The first is the need for the Commissioner to form an opinion under s 108(2), which provides the triggering event for reassessment. The second is for the Commissioner to reassess, a process that brings into play other provisions of the TAA dealing with assessment generally (*Vinelight Nominees Ltd v C of IR* (No 2) (2005) 22 NZTC 19,519; *Auckland Institute of Studies Ltd v C of IR* (2002) 20 NZTC 17,685 cited). The 2 cases of *Auckland Institute of Studies Ltd* and *Vinelight Nominees Ltd* (No 2) make it clear that in the first step of the 2-step reassessment process under the TAA (being the reopening of the time bar), the taxpayer is not in a position to challenge the correctness of the Commissioner's opinion and the Hearing Authority may not substitute its own opinion for that of the Commissioner. At the second step of the process, after the time bar has been reopened, the taxpayer may

challenge substantively the reassessment made by the Commissioner. In the present case, the second step was not in issue. See Case 9/2015 [\(2015\) 27 NZTC 13-008](#).

The 4-year time limit provided by s [108](#) overrides any other provision that limits the Commissioner's right to amend assessments (s [108\(3\)](#) of the TAA).

Amendments clarified that the time bar applies to ancillary taxes (such as PAYE, FBT, RWT, NRWT) and the approved issuer levy (AIL). The filing of the relevant return for each of the ancillary taxes and the statement for AIL is treated as an income tax return and as the making of an assessment. The 4-year period runs from the end of the period for which the taxpayer furnished the return or statement. The Commissioner cannot increase an amount of an ancillary tax or AIL return if 4 years have passed from the end of the period in which the taxpayer provided the relevant return (unless one of the existing exceptions applies).

In addition, from 1 April 2019, the payment of a refund of a tax credit for a charitable gift under s [41A](#) is treated as an assessment and the 4-year time bar period for the Commissioner to amend the tax credit claim starts at the end of the tax year in which the person applies for the refund.

Section [108AC](#) of the TAA, applicable from 1 April 2023 extends the time bar to student loan deductions. The Commissioner is restricted from amending an assessment that includes an amount of salary or wage deductions under the [Student Loan Scheme Act 2011](#) after 4 years.

Non-standard balance date taxpayers

In response to a question asked, the Commissioner released a statement that clarifies when the 4-year time bar in s [108](#) of the TAA commences for taxpayers with a non-standard balance date. It is the Commissioner's view that the time bar begins on 1 April after the tax return is provided by the taxpayer.

Example:

A taxpayer's non-standard balance date of 30 September 2025 is deemed to be in respect of the 2024–25 corresponding income year, ie 1 April 2024 to 31 March 2025. If the taxpayer provides their 2024–25 tax return on 15 January 2026, the time bar begins on 1 April 2026. Increases to the assessment generally become time barred after 31 March 2030.

Extension to time limit

The 4-year time bar may be extended:

- # for 12 months if the Commissioner and the taxpayer agree and their agreement is recorded in a document (note that the Commissioner has prescribed form [IR775](#) for this purpose and it must be delivered to the Commissioner before the expiry of the 4-year period), and
- # for a further 6 months after the end of the 12-month period by notice given by the taxpayer.

Despite any agreed extension to the time bar, the time bar still applies to an assessment made on a ground that was not identified and not known to the taxpayer and the Commissioner before the time at which the time bar would have applied if the extension had not been agreed to. In other words, the Commissioner is not allowed to raise new issues during the period of the time bar waiver.

See *Tax Information Bulletin* [183-128 Vol 8, No 3](#), August 1996 at 34, which states 2 probable situations in which a taxpayer might elect to waive the time bar.

Example:

In a preliminary hearing, the TRA considered whether the time bar waiver created a separate limitation period under s [108B](#) that could not be extended and concluded it did not. By signing the waiver the parties simply agreed that the imposition of the time bar specified in s [108](#) would be delayed for a period of 12 months. The purpose of s [108B](#) was to remove the need for the Commissioner to issue an assessment based on incomplete facts because the time bar against reassessment was due to come into effect. There was no obligation on a taxpayer to agree to an extension of time. There was no restriction on the application of s [108B](#) to situations where an investigation was underway or to the circumstances when the Commissioner and a taxpayer can agree to a waiver. In that

case, the Commissioner issued amended assessments after the end of the waiver under s [108\(2\)](#) as the Commissioner had formed the opinion that the returns were fraudulent or wilfully misleading or omitted income. See Case 8/2016 [\(2016\) 27 NZTC 13-030](#).

See [275] of the standard practice statement [SPS 23/01](#), "Disputes process " for a discussion on the exceptions to the statutory time bar.

GST returns

Except in cases in which a taxpayer has knowingly or fraudulently failed to make full and true disclosure of all material facts necessary to determine the taxpayer's GST liability, there is also a 4-year time bar for GST returns filed. Generally the time allowed for making or amending assessments is limited to 4 years from the end of the GST return period in which the GST return was provided (s [108A](#) of the TAA).

The extension of the 4-year time bar also applies to GST returns.

Law: TAA ss [41A](#), [108](#), [108A](#), [108B](#)

Last reviewed on 31 December 2025

No time limit for amending assessments or determinations [¶4-115]

[¶4-115]

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Several provisions of the Income Tax Act 2007 and the TAA provide that the Commissioner may issue an amended assessment regardless of the 4-year time limit imposed under s [108](#) of the TAA and, therefore, irrespective of whether there has been any element of tax evasion. Some of those provisions are as follows:

- # s [EH 27](#) concerning assessment of income equalisation refunds upon retirement or death
- # s [LA 6\(3\)](#) in relation to the use of remaining refundable credits
- # s [44B](#) of the TAA for an adjustment made to a financial arrangement under s [EW 53](#)
- # s [113B](#) of the TAA concerning dividends recovered or repaid, and
- # s [138P](#) of the TAA concerning determinations or assessments made by the TRA or the Commissioner in conforming to a determination of the Authority.

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Reaching agreement after an Inland Revenue audit [¶4-118]

[¶4-118]

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IR has long had a practice of resolving tax disputes that arise after a tax investigation by reaching agreement with the taxpayer concerned. Such agreements, once finalised and signed by both parties, are binding (subject to certain exceptions outlined below). This procedure for making agreements is outside the formal disputes process outlined at [¶4-120](#), and only applies if no assessment has been issued. IR's practice guidelines for settling disputes once an assessment has been issued and challenge proceedings commenced are outlined at [¶4-232](#).

Standard practice statement [SPS 15/01](#), "Finalising agreements in tax investigations", sets out how taxpayers and IR staff should seek to resolve matters that are in doubt or in dispute when an investigation is being finalised. The SPS states that it is essential for IR and taxpayers that a code of good practice as to how issues are resolved and agreements finalised be defined. The SPS is intended to ensure taxpayers will be treated consistently when entering discussions and negotiations, and will be treated impartially and in accordance with the law by IR.

The SPS states that IR will not negotiate a final agreement if:

- # an amount is clearly assessable or a deduction, rebate or credit is clearly not allowable
- # IR's view of the law on a particular issue is firm and this view is supported by the evidence
- # the only consideration is the taxpayer's ability to pay
- # an adjustment can be made only on an "all or nothing basis", ie either an adjustment would be made for the total amount in question or no adjustment made at all, or
- # the matter relates to use of money and/or prosecution action.

The circumstances in which IR may enter into negotiations are:

- # the quantum of a disputed amount depends on the facts
- # an adjustment may rely on a question of valuation for which there are competing bases
- # an item may not be subject to precise computation — eg the estimation of living expenses in an asset accretion assessment, or
- # an issue of quantum or valuation has been resolved for one period and is likely to apply to prior periods.

Penalties, if applicable, should be discussed and can be included in the final agreement. This includes shortfall penalties and late payment penalties. Failure to agree on penalties will not preclude an agreement on the substantive issues, as the penalties issue can be continued under the disputes resolution process.

A taxpayer's ability to pay is not relevant in determining a taxpayer's liability, but may give rise to other administrative arrangements tailored to the taxpayer's circumstances (such as relief under the hardship provisions, establishment of an instalment arrangement, applying to have tax written off).

Once an agreement has been finalised and signed by both parties, IR will adhere to its terms for the period covered by the audit. The taxpayer is precluded from raising the agreed issues in the disputes process. The agreement is not binding if subsequent evidence of avoidance, evasion or fraud is found, or if the taxpayer has failed to disclose all relevant facts.

Care and management statement

Interpretation statement [IS 25/26](#), "The Commissioner's duty of care and management – section 6A of the Tax Administration Act 1994" sets out the Commissioner's view on the "care and management" duty in s [6A](#) of the TAA and clarifies the relationship between s [6A](#) and various other provisions of the Inland Revenue Acts including s [6](#) of the TAA. Distinction is made between the Commissioner's ability to settle litigation, and whether the Commissioner can settle tax disputes before litigation, or the formal disputes process has started. The courts have recognised that the Commissioner is empowered to settle litigation after carefully

considering the litigation risks and careful management of resources ([¶4-232](#)). The courts, however, have not specifically considered whether the Commissioner can settle tax disputes before the disputes process or litigation has commenced. The Commissioner's view is that they are able to do so. [IS 25/26](#) contains a number of examples to illustrate the principles discussed in this item.

In "Operational Guidelines: section [6A Settlements](#)" (replacing the 2016 guidelines), the principles and processes by which Investigations & Advice might settle a dispute (or a potential dispute) area set out. The guidelines apply to settlements that occur at any stage of the disputes process before the filing of a challenge in the TRA or the High Court. They also apply to the settlement of cases before the commencement of the disputes process.

The guidelines set out that, when considering a "settlement" of a tax liability in a dispute, the starting point is that the law should be applied correctly and that IR should seek to recover all of the tax which is due. Recognising that IR cannot do so in all cases, and where a dispute is commenced with the taxpayer, the guidelines provide a set of criteria which can be taken into account, depending on the particular case, and some guiding principles as to how much weight should be applied to those criteria.

Last reviewed on 31 December 2025

Disputes resolution procedure — background [¶4-120]

[¶4-120]

[Click to open document in a browser](#)

Part [4A](#) of the TAA relating to disputes resolution procedures and Pt [8A](#) relating to challenges came into effect on 1 October 1996.

A subsequent review in 2003, its purpose to ensure that the procedure operated fairly and efficiently, gave rise to legislative amendments, enacted in 2004 and effective 1 April 2005. For a brief summary of the changes, see CCH, *2005 New Zealand Master Tax Guide*, at [¶4-120](#).

The disputes resolution and challenge provisions of the TAA apply to all issues concerning taxes and duties administered by the Commissioner, other than assessments issued to liable parents pursuant to the Child Support Act 1991.

The procedures anticipate considerable dialogue and disclosure by both the taxpayer and the Commissioner, including the issue of a NOPA, a response notice, a disclosure notice from the Commissioner and a taxpayer's SOP. Once the exchange of views and information seems to have crystallised the parties' respective positions, the Commissioner will issue the appropriate assessment. The taxpayer then has 2 months to commence proceedings under the challenge provisions of Pt [8A](#).

The disputes resolution process is broken down into 6 identifiable phases:

- # issue of a NOPA
- # conference (an administrative phase)
- # disclosure
- # adjudication and review (an administrative requirement only — this is not required by law)
- # assessment or amended assessment, and
- # litigation.

The disputes procedures envisage that the final step in the process is the issue of an amended assessment. Previously, under the objection and case stated procedures, further dialogue and consideration normally followed the issue of an amended assessment.

The disputes resolution procedures are designed to settle arguments over the correctness of an assessment or amended assessment before it is issued. This is intended to reduce potential litigation, remove unnecessary compliance costs and secure prompt and equitable resolution of disputes.

The dispute resolution process is not changed by taxpayer self-assessment.

Law: TAA Pts [4A](#), [8A](#)

Last reviewed on 31 December 2025

Summary of Commissioner- and taxpayer-initiated disputes processes [¶4-125]

[¶4-125]

[Click to open document in a browser](#)

The disputes resolution process can be initiated by either the Commissioner ([¶4-130](#)) or the taxpayer ([¶4-135](#)) issuing a NOPA. Such notice requires the relevant party to inform the respondent of any proposed adjustments to a person's tax position and to state the reasons for those adjustments.

IR has issued a standard practice statement on the disputes resolution process that applies from 24 February 2023, [SPS 23/01](#), "Disputes process", replacing [SPS 16/05](#), "Disputes resolution process commenced by the Commissioner of Inland Revenue" and [SPS 16/06](#), "Disputes resolution process commenced by a taxpayer".

Struck-off companies

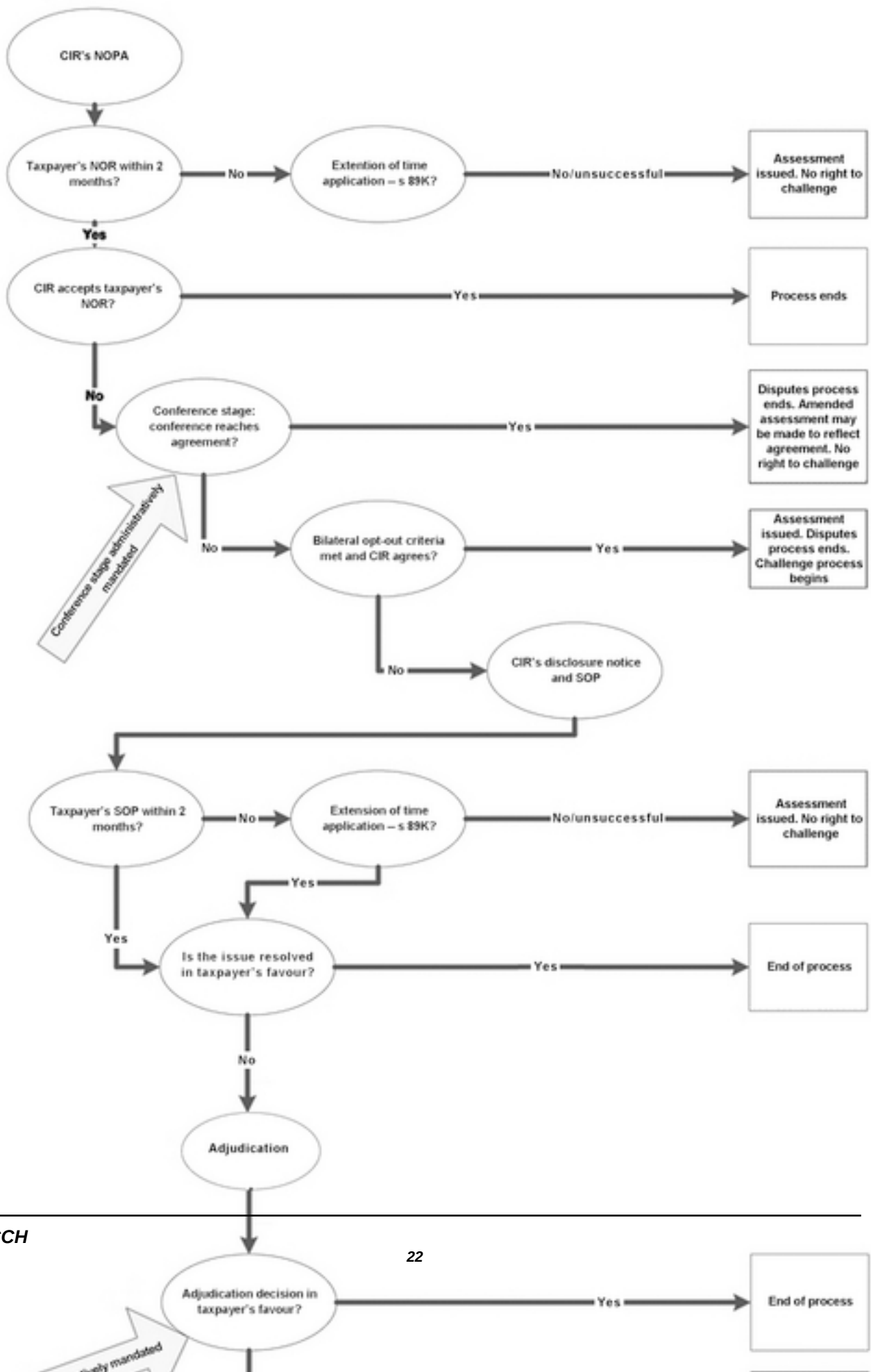
A company that is no longer registered on the Register of Companies cannot be a party to any disputes resolution procedure unless and until that company is reinstated to the register. This is because the company no longer exists once it is struck off the register.

A company that is restored to the register may be deemed to have continued in existence as if it had not been removed from the register. However, it does not follow that the company continues to have some form of status after its removal. See Case W13 ([2003](#)) [21 NZTC 11,134](#) and Case X3 ([2005](#)) [22 NZTC 12,063](#).

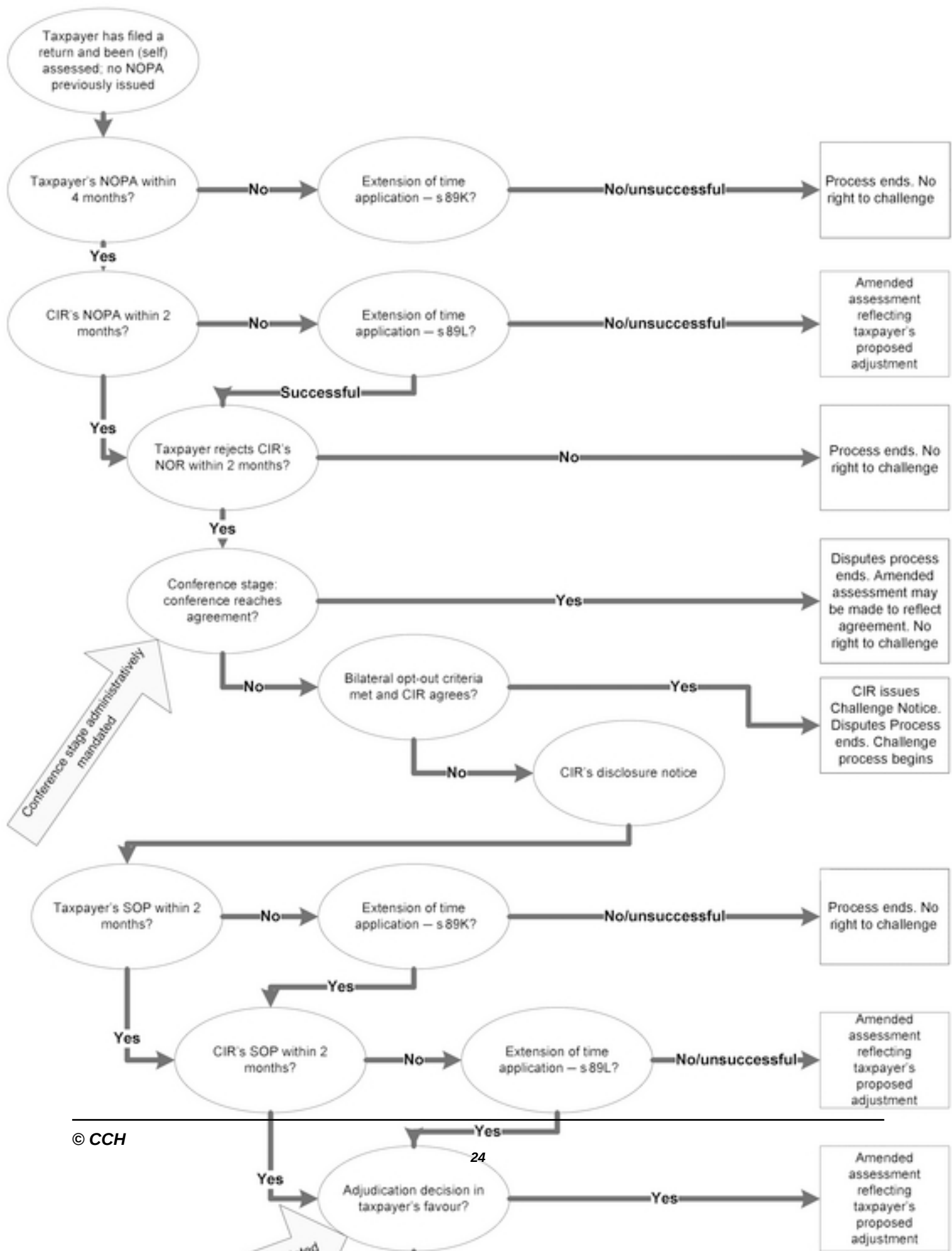
Summary of processes

The steps involved in the disputes resolution process are summarised in the following diagrams.

Disputes resolution process commenced by the Commissioner of Inland Revenue



Disputes resolution process commenced by a taxpayer



Last reviewed on 31 December 2025

Prosecution being considered during the disputes process [¶4-128]

[¶4-128]

[Click to open document in a browser](#)

The Court in *Commissioner of Inland Revenue v Parore* (2021) 30 NZTC ¶25-013 found that the Commissioner was contemplating a criminal prosecution from the outset of the dispute. Nevertheless, the Commissioner went ahead and issued default assessments. Mr Parore was not advised that he could postpone any response under the exceptional circumstances provision contained in s 89K of the TAA. Rather, the Commissioner informed Mr Parore that if he wished to dispute the assessments, he had to file a NOPA along with his GST returns within 4 months of the issue date of the default assessments. This was held to breach his fair trial rights and the court stayed proceedings as a result.

In response, IR issued a standard practice statement, [SPS 23/01](#) "Disputes process", setting out the position where prosecution action is being considered during the disputes procedure. See paragraphs [21] – [30] of the statement.

The statement acknowledges that everyone who is charged with an offence (including offences under the Inland Revenue Acts) is entitled to a fair trial. When exercising their power to compel a person to provide information, IR officers could cause a breach of the taxpayer's right to a fair trial, especially when the taxpayer is required to disclose to the Commissioner what will be their defence to the criminal proceedings. The Commissioner recognises that care must be taken in using both the information-gathering powers and the disputes process so as not to compromise the taxpayer's fair trial rights.

Once prosecution is contemplated by IR, a taxpayer should be advised of that decision before they are next required to issue a disputes document to commence or continue the disputes process.

The statement provides that the taxpayer will be specifically advised of the following 3 matters, as relevant:

- # The Commissioner is contemplating taking prosecution action against them.
- # The taxpayer can voluntarily choose to continue with the disputes process. However, if they choose to continue and issue a disputes document (such as a NOPA, NOR or SOP), the information contained in that document could be used against them in any criminal proceedings. Therefore, it is important that, before voluntarily choosing to continue with the disputes process, the taxpayer considers obtaining legal advice. If the taxpayer decides to continue with the disputes process, they can, at any time, change their mind and choose not to proceed.
- # The Commissioner considers that preserving the taxpayer's rights in current or potential criminal proceedings can be an exceptional circumstance under s 89K. The Commissioner accepts it is not reasonably practicable for the taxpayer to provide a disputes document until the question of prosecution has been resolved.

Consequently, the taxpayer can choose to not provide the relevant disputes document until after receiving a letter from the Commissioner advising either that:

- # criminal proceedings have been concluded
- # criminal proceedings are no longer being contemplated
- # if the taxpayer intends to rely on the exceptional circumstance and provide a disputes document after the question of prosecution is resolved, they should notify the Commissioner within the applicable response period of their intention to rely on s 89K
- # if the taxpayer decides to provide a disputes document despite the exceptional circumstance, they can still use the exceptional circumstance to delay the provision of a subsequent document, or
- # if the dispute has reached the conference phase it is possible to agree to pause the dispute, pending resolution of the question of prosecution action, but the impact of the time bar provisions (ss 108, 108A, 108AB, 108B) needs to be considered by the parties.

Law: TAA s 89K

Last reviewed on 31 December 2025

Notice of proposed adjustment (NOPA) issued by Commissioner [¶4-130]

[¶4-130]

[Click to open document in a browser](#)

Tax disputes are formally initiated by a NOPA. Such notice requires the relevant party to inform the respondent of any proposed adjustments to a person's tax position and to state the reasons for those adjustments.

Usually a NOPA is issued by the Commissioner after completing the audit of a taxpayer's affairs. Generally, the Commissioner will not issue an assessment until after the disputes procedure has been concluded. However, in a limited number of situations, the Commissioner may issue an assessment without first issuing a NOPA. Those situations are outlined at [¶4-145](#).

Sometimes IR may discover an item that needs to be adjusted but is unable to issue a NOPA. This would occur when the proposed adjustment is already subject to a challenge or when the statutory time bar has expired ([¶4-165](#)).

The Commissioner may issue one or more NOPAs in respect of a tax return or an assessment. If an audit spans several years and the time bar is pending, it is possible for the Commissioner to issue one notice that covers more than one return period, issue and tax type to ensure that the assessment can still be issued within the time bar period.

Law: TAA s [89B](#)

Last reviewed on 31 December 2025

Notice of proposed adjustment (NOPA) issued by taxpayer [¶4-135]

[¶4-135]

[Click to open document in a browser](#)

The taxpayer is able to initiate the dispute resolution procedure by issuing a NOPA to the Commissioner in certain circumstances. The taxpayer (or their agent) is able to issue a NOPA to the Commissioner:

- # within 4 months of the date of an assessment made by the Commissioner
- # within 4 months of the date on which the taxpayer's notice of assessment is received at an IR office for an assessment made by the taxpayer (and provided that the Commissioner has not already issued a NOPA to the taxpayer in respect of that assessment)
- # within 4 months of the date of a disputable decision if the Commissioner issues a notice of disputable decision (not being a notice of assessment) that affects the taxpayer.

#Note: There was arguably a loophole in the disputes procedures that allowed a taxpayer to circumvent the time limit for challenging an assessment. This involved the taxpayer making a voluntary disclosure for a particular item, which arguably allowed them to reopen the entire original assessment, circumventing the time limit. However, from 30 March 2021, an amendment closed this potential loophole by providing that if the assessment by the Commissioner is an amended assessment, the taxpayer's entitlement to dispute the assessment is limited to disputing a new or increased liability imposed.

Returns to be furnished

If a taxpayer has not filed an income tax or GST return for an assessment period, but wishes to dispute an assessment made by the Commissioner for that period, a return must first be filed for that assessment period: *C of IR v Taxation Review Authority* (2004) 21 NZTC 18,707. The High Court held that s 89D(2) of the TAA makes a taxpayer's right to issue a NOPA dependent on the taxpayer first satisfying the taxpayer's statutory obligation to file a tax return. That requirement is an additional requirement of the disputes procedures in which a default assessment is involved. To be valid, a NOPA must be issued within 2 months of the date of the assessment. This time limit is not affected by the requirement for the taxpayer to file a tax return.

Also see Case W16 (2003) 21 NZTC 11,156 and *C of IR v Taxation Review Authority* (2004) 21 NZTC 18,634 at ¶4-225.

From 1 April 2019, when the Commissioner makes a default assessment for an individual because they are not satisfied the income information in their pre-populated account is correct, the individual may dispute the assessment only by making an adjustment to their final account. However, if the Commissioner makes a default assessment under s 106(1A) of the TAA because they consider the information provided in an individual's final account is not likely to be correct, the individual may only dispute the assessment under the disputes procedure.

Despite its transparency and the fact that there is no assessment of the company, a look-through company (LTC) may issue a NOPA in respect of a return the company has made if the Commissioner has not previously issued a NOPA in respect of the same return.

Law: TAA ss [89AB](#), [89C](#), [89D](#), [89DA](#)

Last reviewed on 31 December 2025

Form and content of notice of proposed adjustment (NOPA) [¶4-140]

[¶4-140]

[Click to open document in a browser](#)

The NOPA must be in the prescribed form (form [IR770](#)) and must also contain sufficient detail of certain matters to identify the issues arising between the Commissioner and the disputant.

For a NOPA issued by the Commissioner, there must be sufficient detail to:

- # identify the adjustment or adjustments proposed to be made to the assessment
- # provide a concise statement of the key facts and the law to advise the disputant of the grounds for the proposed adjustment or adjustments, and
- # state how the law applies to the facts.

For a NOPA issued by a disputant, there must be sufficient detail to:

- # identify the adjustment or adjustments proposed to be made to the assessment
- # provide a statement of the facts and the law in sufficient detail to advise the Commissioner of the grounds for the proposed adjustment or adjustments, and
- # state how the law applies to the facts.

Copies of the documents that are significantly relevant to the issues arising in the dispute of which the disputant is aware at the time that the NOPA is issued are also required.

Law: TAA s [89F](#)

Last reviewed on 31 December 2025

Commissioner not required to issue notice of proposed adjustment (NOPA) [¶4-145]

[¶4-145]

[Click to open document in a browser](#)

In some limited circumstances, the Commissioner can make an assessment of a taxpayer's tax position without initiating the dispute resolution process (ie without issuing a NOPA). Those circumstances are:

- # the assessment corresponds with a tax return that has been provided by the taxpayer (s [89C\(a\)](#) of the TAA)
- # the taxpayer has provided a tax return that, in the Commissioner's opinion, contains a simple or obvious mistake or oversight, and the assessment merely corrects the mistake or oversight (s [89C\(b\)](#))
- # the assessment corrects a tax position previously taken by the taxpayer in a way or manner agreed by the Commissioner and the taxpayer (s [89C\(c\)](#))
- # the assessment reflects an agreement reached between the Commissioner and the taxpayer (s [89C\(d\)](#))
- # the assessment is made in relation to a matter for which the material facts and the relevant law are identical to an assessment of the taxpayer for another period that is at the time the subject of court proceedings (s [89C\(db\)](#))
- # the Commissioner has reasonable grounds to believe a notice may cause the taxpayer or associate to either (s [89C\(e\)\(i\)](#), [\(ii\)](#)):
 - # leave New Zealand, or
 - # take steps to remove assets from New Zealand, thus making it harder for the Commissioner to collect the tax
- # the Commissioner has reasonable grounds to believe that the taxpayer has been involved in fraudulent activity (s [89C\(eb\)](#))
- # the assessment corrects a tax position previously taken by the taxpayer which is, in the Commissioner's opinion, the result of a vexatious or frivolous act or failure to act by the taxpayer (s [89C\(f\)](#))
- # the assessment is made as a result of a direction or determination by a court or the TRA (s [89C\(g\)](#))
- # the taxpayer has not provided a tax return as required by law (s [89C\(h\)](#))
- # the assessment is made following the failure by a taxpayer to make a deduction required to be made by a tax law or to account for a deduction in the manner required by a tax law (s [89C\(i\)](#))
- # the taxpayer is entitled to issue a NOPA in respect of a tax return provided by the taxpayer and has done so (s [89C\(j\)](#))
- # the assessment corrects a tax position taken by the taxpayer or an associate as a consequence or result of an incorrect tax position taken by another taxpayer and, at the time the Commissioner makes an assessment, the Commissioner has made or is able to make an assessment to that other taxpayer for the correct amount of tax payable by that other taxpayer (s [89C\(k\)](#))
- # the assessment corrects a tax position taken by a taxpayer in relation to a tax position taken by an LTC in a return of income by that company, and the disputes resolution process has been completed in respect of that return and that tax position (s [89C\(ka\)](#))
- # the assessment results from an amendment made to a qualifying individual's final account under s [22G\(6\)](#) (s [89C\(l\)](#))
- # the Commissioner is making an amendment before finalising a qualifying individual's account under s [22H](#) (s [89C\(lbaa\)](#))
- # the assessment is of a penalty under ss [139AAB](#), [139AB](#), [139ABB](#) (from 1 January 2025), [139AC](#), [142H](#) or [142I](#), [142J](#) or [142K](#) (s [89C\(lba\)](#)),
- # the assessment extinguishes all or part of the taxpayer's tax loss in accordance with the Commissioner's power to write-off tax (s [89C\(lb\)](#)),
- # the assessment extinguishes all or part of the taxpayer's excess deductions under the residential rental ring-fencing rules ([¶7-365](#)) in accordance with s [177C\(5BA\)](#) (s [89C\(lbb\)](#)), or
- # the assessment includes a calculation, by the Commissioner, of a WFF tax credit (s [89C\(m\)](#)).

Law: TAA s [89C](#)

Last reviewed on 31 December 2025

Action on receipt of notice of proposed adjustment (NOPA) [¶4-150]

[¶4-150]

[Click to open document in a browser](#)

The recipient of a NOPA has 3 possible courses of action. The recipient may:

- # accept the proposed adjustments ([¶4-155](#))
- # reject the adjustments ([¶4-160](#)), or
- # do nothing ([¶4-155](#)).

Last reviewed on 31 December 2025

Acceptance of notice of proposed adjustment (NOPA) [¶4-155]

[¶4-155]

[Click to open document in a browser](#)

A taxpayer accepts a proposed adjustment set out by the Commissioner in a NOPA either by notifying the Commissioner they accept or by doing nothing and allowing the 2-month response period to lapse. Once the assessment has been accepted, it may not be challenged in the TRA or the High Court.

IR advises that assessments are likely to be issued sooner if acceptance of a NOPA is notified, rather than allowing for deemed acceptance. Early acceptance will also ensure that any use of money interest or shortfall penalty is pegged at an earlier date.

If the Commissioner fails to issue a challenge notice within 4 years of a taxpayer issuing a NOPA, the Commissioner is deemed to have accepted the taxpayer's NOPA or SOP and must issue an amended assessment.

Law: TAA ss [89H](#), [89I](#)

Last reviewed on 31 December 2025

Rejection of notice of proposed adjustment (NOPA) — notice of response (NOR) [¶4-160]

[¶4-160]

[Click to open document in a browser](#)

A recipient of a NOPA who does not agree with the proposed adjustment and wishes to contest it must issue a NOR (form [IR771](#)) to the relevant party within 2 months from the date of issue of the NOPA. If several NOPAs have been issued on different dates, a single NOR can be used, but it must be issued within 2 months of the issue of the first NOPA.

A NOR must state concisely:

- # the facts or legal arguments in the NOPA that the issuer of the NOR considers are wrong
- # why the issuer of the NOR considers those facts or legal arguments to be wrong
- # any facts and legal arguments relied on by the issuer of the NOR
- # how the legal arguments apply to the facts, and
- # the quantitative adjustments to any figure referred to in the NOPA that result from the facts and legal arguments relied on by the issuer of the NOR.

If the NOR does not contain the requisite information, it will be invalid. In such cases, the Commissioner will, as soon as practicable, notify the taxpayer or the taxpayer's agent of the deficiencies in the NOR and the expiry date of the response period. See standard practice statement [SPS 23/01](#), "Disputes process". If the response period has expired, the only avenue open to the taxpayer is to seek to file a late NOR on the ground of exceptional circumstances ([¶4-165](#)).

In cases in which the NOPA has been initiated by the taxpayer and the Commissioner does not respond in the 2-month period, the Commissioner is deemed to have accepted the NOPA and must include that adjustment in any notice of assessment or amended assessments sent to the taxpayer. However, the Commissioner is not required to include the adjustment if the Commissioner considers that the taxpayer was fraudulent or wilfully misled the Commissioner.

When a taxpayer is late in issuing a NOPA or a SOP, the Commissioner's response period starts from the time when it is decided "exceptional circumstances" exist and the taxpayer's late document is to be allowed. This ensures the Commissioner is not required to issue a substantive response to a dispute that may not have a procedural basis while a decision is still being reached.

The Commissioner may apply to the High Court for an extension of time to issue a NOR if exceptional circumstances apply and application is made before an assessment including the adjustment is issued ([¶4-165](#)).

Where a taxpayer initiates the dispute and where the Commissioner fails to issue a challenge notice within the 4-year time frame, the Commissioner is deemed to have accepted the taxpayer's NOPA even if the Commissioner's NOR was issued in time.

Law: TAA ss [89AB](#), [89AC](#), [89G](#), [89H](#), [89J](#)

Last reviewed on 31 December 2025

Time limits for disputes documents — exceptional circumstances [¶4-165]

[¶4-165]

[Click to open document in a browser](#)

Taxpayer outside time limit for NOPA

If an exceptional circumstance has prevented a taxpayer from responding to a NOPA within the 2-month time period, the Commissioner may accept a late NOR. The effect is that the taxpayer's rejection of the Commissioner's NOPA is treated for all purposes under Pt 4A of the TAA as if it had been made within the statutory response period. Exceptional circumstances may also be considered in relation to the late filing of a SOP or a NOPA in respect of a self-assessment.

For these purposes an exceptional circumstance is defined as an event or circumstance outside the taxpayer's control that provides reasonable justification for not responding within the response period. An act or omission of an agent is not an exceptional circumstance unless the act or omission was caused by an event or circumstance beyond the agent's control that could not have been anticipated and could not have been avoided if accepted standards of business organisation and professional conduct had been maintained.

An exceptional circumstance includes the situation in which a taxpayer or agent is late in issuing a NOPA, NOR or SOP, but the Commissioner considers that the lateness is minimal or results from one or more statutory holidays falling in the response period.

The Commissioner may also accept a late notice or SOP if they consider the taxpayer has a demonstrable intention to enter into or continue the disputes resolution process at the relevant time.

Any request for consideration of a late NOR, NOPA or SOP must be in writing and must include:

- # a full explanation as to why the NOR, NOPA or SOP is late, together with any supporting evidence, and
- # the NOR, NOPA or SOP that the Commissioner would have received had it been issued on time.

Example:

The taxpayers had a long-standing dispute with the Commissioner concerning the correct assessment of income tax to be deducted from superannuitants who derived pensions from the United Kingdom. The Commissioner disallowed the taxpayers' self-assessments and the taxpayers issued NOPAs. The Commissioner rejected the proposed adjustments, and the taxpayers gave notice that they did not accept the Commissioner's rejection. The taxpayers exercised their right to have the matter decided by the TRA by sending the Commissioner a notice of claim. The taxpayers had, however, neglected to file the notice of claim with the Registrar of the TRA before the time limit expired. The taxpayers applied for leave from the Authority to commence a challenge out of time. The Authority refused, as the taxpayers were unable to establish that their failure to file a notice of claim in time was an "exceptional circumstance". See Case V1 [\(2001\) 20 NZTC 10,001](#).

Standard practice statement [SPS 23/01](#), "Disputes process", sets out IR's interpretation of "exceptional circumstance" at [301]–[318] of the statement.

If the Commissioner does not exercise the discretion to accept a late document, the Commissioner must issue a refusal notice within one month of the taxpayer's notice being sent. If the Commissioner fails to issue a notice, then such a notice is deemed to have been sent at the end of one month, if it has not actually been sent. Receipt of this notice, or a deemed notice, allows the taxpayer the right to challenge the notice in the TRA within 2 months of the notice's issue. The statutory time bars are extended to include this period between the date of the refusal notice and the date the subsequent challenge is judged successful by a court, or when the Commissioner concedes.

When a taxpayer is late in issuing a NOPA or a SOP, the Commissioner's response period starts from the time when it is decided "exceptional circumstances" exist and the taxpayer's late document is to be allowed.

This ensures the Commissioner is not required to issue a substantive response to a dispute that may not have a procedural basis while a decision is still being reached.

Commissioner outside time limit for NOPA

If an exceptional circumstance has prevented the Commissioner from rejecting a taxpayer's NOPA within the 2-month response period, the Commissioner can apply to the High Court for an order allowing the Commissioner to respond outside the time limit. An exceptional circumstance is defined for these purposes as an event or circumstance beyond the Commissioner's or other IR officer's control that is justification for not rejecting a NOPA within the response period.

Preserving fair trial rights under New Zealand Bill of Rights is exceptional circumstance

Commissioner's statement, [CS 20/04](#), "The disputes resolution process and fair trial rights", sets out the broad approach the Commissioner is taking to preserve a taxpayer's fair trial rights in criminal proceedings when there is a contemporaneous civil dispute.

A taxpayer will be advised when criminal proceedings have commenced, or are contemplated, before the taxpayer is required to commence or continue the disputes process. The Commissioner considers that preserving a taxpayer's rights in current or potential criminal proceedings is an "exceptional circumstance" under s [89K](#). A taxpayer, therefore, may elect not to file an outstanding disputes document until the question of prosecution has been determined. This may prevent the commencement of, or pause, the disputes process. The Commissioner will notify the taxpayer once the issue of prosecution has been determined, at which time the dispute can commence or resume. The taxpayer will then have to issue their outstanding dispute document by the later of 2 months from this notification or the original due date for the document.

An alternative is for the parties to agree to pause the dispute at the conference stage until the matter of prosecution is resolved. The taxpayer may also choose to voluntarily take part in the disputes resolution process, despite the prosecution or contemplated prosecution.

A recent case that analyses a taxpayer's right to a fair trial and the effect on those rights when the Commissioner decides not to allow s [89K](#) to be invoked is *Commissioner of Inland Revenue v Parore* ([2021](#)) [30 NZTC ¶125-013](#). In this case it was found that the Commissioner was contemplating a criminal prosecution from the outset. Nevertheless, the Commissioner went ahead and issued default assessments. Mr Parore was not advised that he could postpone any response under the exceptional circumstances provision contained in s [89K](#) of the TAA. Rather, the Commissioner informed Mr Parore that if he wished to dispute the assessments he had to file a NOPA along with his GST returns within 4 months of the issue date of the default assessments. This was held to breach his fair trial rights and the court stayed proceedings as a result. See also [¶4-128](#).

Debt recovery steps will not be taken by IR if the disputes process has been halted, unless the Commissioner considers there is a significant risk the debt will not be paid. This will only be relevant if an assessment has been issued by the Commissioner.

Halting the disputes process may impact on the time bar. In that case, options are available to ensure that the appropriate steps are taken before the time bar expires, eg the taxpayer can agree to waive the time bar, or the Commissioner can apply to the High Court for an extension.

Commissioner outside time limit for challenge notice

The Commissioner may apply to the High Court for an order allowing the Commissioner to issue a challenge notice after the statutory 4-year period ([¶4-192](#)) if:

- # the Commissioner considers that an exceptional circumstance applies or has prevented the Commissioner from issuing the challenge notice within the 4 years, and

the Commissioner applies within 4 years.

An “exceptional circumstance” for the purposes of the application is an event or circumstance beyond the control of the Commissioner or an IR officer that provides the Commissioner with a reasonable justification for not rejecting the adjustment within the response period.

The preservation of a taxpayer’s right to a fair trial was accepted as an exceptional circumstance under s [89L](#) permitting the Commissioner to issue a challenge notice outside the 4-year time period in *Commissioner of Inland Revenue v Faghriyar* ([\(2020\) 29 NZTC 24-067](#)).

The High Court may either make an order as it sees fit or decline to make an order.

Taxpayer outside time limit for filing challenge proceedings

If an exceptional circumstance has prevented a taxpayer from commencing challenge proceedings within 2 months of an assessment being issued, the High Court or TRA may allow a late challenge ([¶14-225](#)).

Law: TAA ss [89AB](#), [89AC](#), [89K](#), [89L](#)

Last reviewed on 31 December 2025

Action on receipt of notice of response [¶4-170]

[¶4-170]

[Click to open document in a browser](#)

Commissioner-initiated procedure

After considering the merits of a NOR, the Commissioner will do one of the following:

- # accept the NOR in full and make any appropriate adjustments
- # accept the NOR in part and advise the taxpayer of those issues that have been accepted, and the remainder of the issues will progress to the conference phase
- # reject the NOR in full and advise the taxpayer or agent of the rejection, and the issue will progress to the conference stage.

Taxpayer-initiated procedure

If the NOR was issued by the Commissioner (ie the taxpayer initiated the dispute procedure) and the taxpayer disagrees with the NOR, the taxpayer must notify the Commissioner within the response period (ie within 2 months of the date of the Commissioner's NOR), rejecting all or part of the Commissioner's notice. The matter will then progress to the conference stage. Failure to notify the Commissioner of the rejection will result in deemed acceptance of the matters in the Commissioner's notice (s [89H\(3\)](#) of the TAA).

Law: TAA s [89H\(3\)](#)

Last reviewed on 31 December 2025

Purpose of conference stage [¶4-175]

[¶4-175]

[Click to open document in a browser](#)

If matters remain in dispute after the filing of the NOPA and the NOR, parties are generally required to attend a conference (with their legal representatives) to discuss, clarify and try to resolve the differences in their understanding of the various facts and issues. The conference phase is an administrative practice and is not mandatory. However, it is encouraged as a means for resolving disputes, where possible, without the need to proceed to adjudication ([SPS 23/01](#), “Disputes process”, at [154]–[195]).

Last reviewed on 31 December 2025

Conference facilitation [¶4-177]

[¶4-177]

[Click to open document in a browser](#)

Conference facilitation is offered to all taxpayers by IR as part of the conference stage of the disputes resolution process. The offer is made in writing within one month from the date of issue of the taxpayer's NOR, or the taxpayer's rejection of the Commissioner's NOR (whichever is applicable).

An independent internal facilitator is a person who promotes and encourages structured discussion between IR officers and the taxpayer on an informed basis and with a bona fide intention of resolving the dispute. The facilitator is a senior IR officer, with sufficient technical knowledge, who has not been involved in the dispute or given advice on the dispute before the conference stage.

The conference facilitator is not responsible for making any decision in respect of the dispute (or settlement), but rather facilitates the discussion and resolution of difference, and ultimately determines when the conference phase has come to an end. Facilitation is optional and a conference can be held without a facilitator.

See [SPS 23/01](#), "Disputes process".

Last reviewed on 31 December 2025

Opting out of the disputes resolution process [¶4-179]

[¶4-179]

[Click to open document in a browser](#)

The Commissioner and a taxpayer can agree, recording their agreement in a document, to opt out of the disputes resolution process if they are satisfied that it would be more efficient to have the dispute heard by a court or the TRA. The Commissioner will not agree to truncation of the disputes resolution process without a conference having been held and the taxpayer must have participated meaningfully during this administrative phase.

For a request to opt out to be successful, the taxpayer must have:

- # provided all information requested by the Commissioner, and
- # discussed the contentious facts and issues of the dispute with the Commissioner.

The Commissioner will agree to the request, if the above steps have been taken and one of the following applies:

- # the total amount of tax in disputes is \$75,000 or less
- # the dispute turns on issues of fact only
- # the dispute concerns facts and issues that are waiting to be resolved by a court, or
- # the dispute concerns facts and issues that are similar to those considered by the Tax Counsel Office (TCO) if similar issues have been considered in a dispute in the past.

Even if the dispute does not fall into one of the categories above the Commissioner may still agree to opt out of the disputes resolution process if it is considered that a court or the TRA can deal with the dispute more efficiently.

A taxpayer's request to opt out must be submitted within 2 weeks of the end of the conference stage and the Commissioner will advise the taxpayer within 2 weeks from the date of request whether the request has been agreed to or not. In agreeing to truncate the process, the Commissioner must issue a challenge notice ([¶4-192](#)).

For more detail, see [SPS 23/01](#), "Disputes process", at [196]–[201] and [323]–[334].

Law: TAA s [89N\(1\)\(c\)\(viii\)](#)

Last reviewed on 31 December 2025

Aim of disclosure stage [¶4-180]

[¶4-180]

[Click to open document in a browser](#)

If the dispute remains unresolved after the conference (and the parties have not opted out of the disputes process), the parties proceed to disclosure. This process aims to allow the taxpayer and Commissioner to lay all their cards on the table and delineate the nature and scope of the dispute. To encourage this aim, any future litigation is generally limited to the evidence and legal arguments that are disclosed in the SOPs ([¶4-190](#)).

Last reviewed on 31 December 2025

Disclosure notice [¶4-185]

[¶4-185]

[Click to open document in a browser](#)

Except in the cases in which the Commissioner is not required to complete the disputes resolution process ([¶4-179](#)), the Commissioner must issue a disclosure notice in respect of a NOPA to a disputant at the time, or after the Commissioner or the taxpayer, as the case may be, issues the NOPA. However, the Commissioner may not issue a disclosure notice in respect of a NOPA if the Commissioner has already issued a disputable decision (ie an assessment or decision subject to objection or challenge) that includes, or takes account of, the adjustment proposed in the NOPA.

Unless the disputant has issued a NOPA, the Commissioner must, when issuing a disclosure notice:

- # provide IR's SOP, and
- # expressly refer to the evidence exclusion rule under s [138G](#) of the TAA and its potential effect ([¶4-190](#)).

Each party's SOP will be on a prescribed form (form [IR773](#)) and must give sufficient detail to fairly advise the other of an outline of the facts, the evidence, the issue and the proposition of law relied on by the party.

The term "evidence" refers to the available documentary evidence on which the person intends to rely. The term does not include a list of potential witnesses.

Note that the TRA has confirmed that no timeframe is specified within which the disclosure notice has to be issued and that the TRA does not have the power to direct that the Commissioner must issue one (Case 23/2015 ([2015](#)) 27 NZTC [¶3-022](#)).

Disputant's response period

If the Commissioner issues a disclosure notice to a disputant, the disputant must issue the Commissioner with their SOP within 2 months of the date of issue of the Commissioner's disclosure notice. If the taxpayer's SOP does not contain the requisite information and the response period has expired, the taxpayer is treated:

- # as having accepted the Commissioner's NOPA or SOP, if the Commissioner has proposed the adjustment, or
- # as not having issued a NOPA, if the disputant has proposed the adjustment.

An assessment will then be issued. If there is still time available in the response period, the taxpayer will be able to issue a valid taxpayer SOP. If an extension of time is needed, the disputant may apply to the High Court for an extension of time in accordance with s [89M\(11\)](#) (*Chapman v C of IR* ([2004](#)) 21 NZTC 18,474).

Commissioner's right of reply

The Commissioner has the right to reply to the taxpayer's SOP with additional information. If the Commissioner exercises that right of reply, they must do so within 2 months of the date of issue of the taxpayer's SOP (s [89M\(8\)](#)).

In *C of IR v Delphi Fishing Co Ltd* ([2004](#)) 21 NZTC 18,525, the High Court held that any additional information provided by the Commissioner under s [89M\(8\)](#) must be in response to the taxpayer's material. The additional information can be facts or evidence that the Commissioner intends to rely on, issues that the Commissioner considers will arise or propositions of law that the Commissioner intends to rely on in the disputes process.

After a taxpayer has issued a SOP, the Commissioner is not required to issue a SOP if any of the situations set out in s [89N\(1\)\(c\)](#) apply. In effect, the Commissioner is not required to issue a SOP for a truncated dispute when the dispute is taxpayer initiated, and the taxpayer has issued a SOP (s [89M\(6BA\)](#) and [¶4-190](#)).

If the Commissioner requires more time to reply to the disputant's SOP, the Commissioner may apply to the High Court under s [89M\(10\)](#).

Parties may agree to accept additional information

The Commissioner and a disputant may agree to additional information being added, at any time, to either of their SOPs. The additional information provided by the Commissioner or a disputant is deemed to form part of the provider's SOP.

Law: TAA s [89M](#)

Last reviewed on 31 December 2025

Evidence exclusion rule [¶4-190]

[¶4-190]

[Click to open document in a browser](#)

The evidence exclusion rule has been relaxed so that parties are now only limited to the issues and propositions of law. Previously, they were limited in any challenge to the facts, evidence, issues and propositions of law disclosed in their SOPs.

Once a disclosure notice has been given and the parties have completed their SOPs, the evidence exclusion rule applies. Under this rule, both the taxpayer and the Commissioner are limited in any challenge to the issues and propositions of law disclosed in their SOPs. See *Case W31* (2004) 21 NZTC 11,311 for illustration of the rule. The Court of Appeal suggested that there is no comparable rule applying to parties earlier in the dispute resolution process. See *C of IR v Zentrum Holdings Ltd* (2006) 22 NZTC 19,912 (CA).

However, the evidence exclusion rule does not restrict the parties to matters raised in their own SOPs. If they were so restricted, neither party would be able to respond to the other party's SOP because neither could rely on legal propositions raised by the other party. See *C of IR v Delphi Fishing Co Ltd* (2004) 21 NZTC 18,525 at 18,533.

The evidence exclusion rule is subject to judicial discretion to admit previously undisclosed matters. The applicant must show that they could not, with due diligence, have found or discovered this material at the time of discovery of their SOP and that admission of those items is necessary to avoid manifest injustice. See *Case X22* (2006) 22 NZTC 12,278.

Where, in a taxpayer-initiated dispute, the parties have agreed to submit the dispute to a court or TRA without requiring the Commissioner to submit a SOP (under s 89N(1)(c)(viii)), the taxpayer is bound by the evidence exclusion rule but the Commissioner is not. This ensures the Commissioner can rely on information that would otherwise have been included in their SOP. However, where the Commissioner has not been required to submit a SOP under any of the other sub-paragraphs of s 89N(1)(c), neither the Commissioner nor the taxpayer are bound by the evidence exclusion rule (¶4-185).

Law: TAA s [138G](#)

Last reviewed on 31 December 2025

The Commissioner's challenge notice [¶4-192]

[¶4-192]

[Click to open document in a browser](#)

Where a taxpayer has initiated the dispute, the Commissioner must issue a challenge notice within 4 years of the taxpayer issuing its NOPA. Generally, the challenge notice can only be issued after the Commissioner has issued a SOP. The challenge notice forms the basis for the subsequent challenge in the courts. It marks the conclusion of the taxpayer-initiated dispute.

A challenge notice must state that:

- # the Commissioner will not be issuing an amended assessment that includes or takes into account the adjustment proposed by the taxpayer, and
- # a challenge may proceed.

A challenge notice is not required where the Commissioner has accepted a taxpayer's NOPA if the Commissioner considers the taxpayer was fraudulent or wilfully misled the Commissioner in relation to the adjustment.

The Commissioner is also not required to issue a challenge notice to the extent that the dispute has ended, or when:

- # an amended assessment has been issued reflecting some (but not all) of the disputant's proposed adjustments, and
- # the disputant has a right of challenge under s [138B\(2\)](#).

The latter provisions concerning an amended assessment first applied on 30 March 2022.

If the Commissioner has failed to issue a challenge notice in time and exceptional circumstances exist, the Commissioner may make an application to the High Court to issue a late notice ([¶4-165](#)).

Law: TAA s [89P](#)

Last reviewed on 31 December 2025

Introduction to the adjudication process [¶4-195]

[¶4-195]

[Click to open document in a browser](#)

Disputes that are not resolved during the pre-assessment phase are subject to review and adjudication by the Tax Counsel Office (TCO). The adjudicator is an impartial IR officer who is independent of the audit function.

Not every case will be sent to adjudication. Sometimes the Commissioner may issue an assessment before the adjudication process can be utilised. There is no specific legislation governing the function of the TCO.

Last reviewed on 31 December 2025

Filing requirements for disputes review [¶4-200]

[¶4-200]

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On completion of the pre-adjudication disputes resolution process, the following documents must be filed with IR:

- # notice of proposed adjustment (NOPA)
- # notice of response (NOR)
- # notice rejecting the NOR (if applicable)
- # conference notes
- # the taxpayer's SOP
- # the Commissioner's SOP, and
- # any relevant documentary evidence (eg expert opinions, specialist advice obtained) and a schedule of all evidence held.

The IR officer will attach a cover sheet to the documents that will be sent to the Tax Counsel Office (TCO). A copy of the cover sheet will be sent to the taxpayer or agent together with a letter asking for the taxpayer's agreement on the material to be sent to the TCO. Taxpayers will be given 10 working days to respond, after which the file will be given to the TCO. The TCO will endeavour to determine the outcome of the case within 10 weeks from the date of receipt of the file, subject to the facts and complexity of the case.

See standard practice statement [SPS 23/01](#), "Disputes process".

IR's performance standards require the TCO to complete low complexity disputes in an average of 8 weeks, medium complexity disputes in an average of 14 weeks and high complexity disputes in an average of 20 weeks.

Standard practice statement [SPS 23/01](#) states at [261]:

"Generally, the adjudicator will make such a decision within 10 weeks after the case is referred to the TCO. The length of time taken to complete the adjudication depends on the number of disputes before the TCO at any one time, any allocation delays, and the technical, legal and factual complexity of those disputes."

Last reviewed on 31 December 2025

Communications received by TCO for adjudication [¶4-202]

[¶4-202]

[Click to open document in a browser](#)

QWBA, “Managing communications associated with a dispute referred to the adjudication unit” sets out how the Tax Counsel Office (TCO) (then the adjudication unit) deals with communications it receives in the disputes resolution process. Briefly, there are 2 guiding principles that the unit seeks to abide by:

- # openness and transparency, and
- # maintaining the independence of the unit.

These 2 principles effectively require that the parties to a dispute are aware of the reasons for the unit's decision and what has influenced the unit in coming to that decision.

Communications generated will generally be signed by the TCO's field liaison and communication unit and copied to both parties to the dispute. Communications of this type usually arise because the TCO needs information to progress its consideration of a case.

Communications generated by the parties to the dispute will be answered in the first instance by the TCO's field liaison and communication unit if the matter is of a general or procedural nature. The adjudication team working on the case will not usually see this correspondence, so it will not be copied to the parties to the dispute.

All communications that are passed on to the adjudication team working on the dispute will be copied to both parties to the dispute. Any claim of legal professional privilege made on a communication received by the TCO will be considered and determined by the unit before any copy of the communication is sent to the other party.

Last reviewed on 31 December 2025

Decision of the TCO in disputes review [¶4-205]

[¶4-205]

[Click to open document in a browser](#)

The IR officer in charge of the dispute is advised of the decision of the Tax Counsel Office (TCO). If the decision is in favour of the Commissioner, the officer will do what is required to give effect to the decision, including issuing a notice of assessment. If the decision is against the Commissioner, the dispute resolution process comes to an end. The Commissioner has no right of challenge. The Commissioner issues any assessments that may be necessary to reflect the decision in favour of the taxpayer.

If the decision made by the TCO is against the taxpayer, the taxpayer may challenge it. The taxpayer may file proceedings in the TRA or in the High Court.

If the dispute resolution process was commenced by the taxpayer, proceedings may be filed by the taxpayer in the following circumstances:

- # the assessment was the subject of an adjustment proposed by the taxpayer that the Commissioner has rejected, or
- # the assessment was subject to a NOPA issued by the taxpayer, which the Commissioner has rejected, and the Commissioner has issued a challenge notice. This defers the commencement of challenge proceedings as the challenge notice can only generally be issued after the Commissioner has issued a SOP, or
- # the Commissioner or taxpayer has issued an assessment that is the subject of an adjustment notified to the Commissioner, where:
 - # the adjustment relates to a matter for which the material facts and relevant law are identical to another assessment, for a different period, for the taxpayer which are subject to court proceedings, or
 - # the adjustment corrects a tax position taken by the taxpayer, or a person associated with the taxpayer, as a consequence of an incorrect tax position taken by another taxpayer, which is or was subject to court proceedings, and
 - # the Commissioner has issued a challenge notice ([¶4-192](#)), or
 - # a disputable decision, not being an assessment, was the subject of an adjustment proposed by the taxpayer that the Commissioner has rejected.

If the dispute resolution process was commenced by the Commissioner, proceedings may be filed by the taxpayer if the assessment includes an adjustment proposed by the Commissioner, which the taxpayer has rejected within 2 months of the date of the NOPA. Proceedings may also be filed by the taxpayer if the assessment meets the following criteria:

- # it is an amended assessment, and
- # a fresh liability is imposed or an existing liability is increased.

The taxpayer must file proceedings with the TRA or the High Court within 2 months from the date the assessment is issued after the adjudication process. This time limit applies to all disputes, whether commenced by the taxpayer or the Commissioner.

Last reviewed on 31 December 2025

Application of challenge procedure [¶4-215]

[¶4-215]

[Click to open document in a browser](#)

The challenge procedure applies to:

- # every notice of disputable decision issued by the Commissioner under a provision of the Inland Revenue Acts on or after 1 October 1996, irrespective of the period to which the notice relates, and
- # any assessment, reassessment or determination issued before 1 October 1996 that was elected to be treated as if issued after that date, irrespective of the period to which the assessment or reassessment relates (s [125A\(2\)](#) of the TAA).

The procedure does not apply to any assessment, reassessment or determination or decision to which Pt [8](#) of the TAA applies (objections).

Law: TAA s [138A](#)

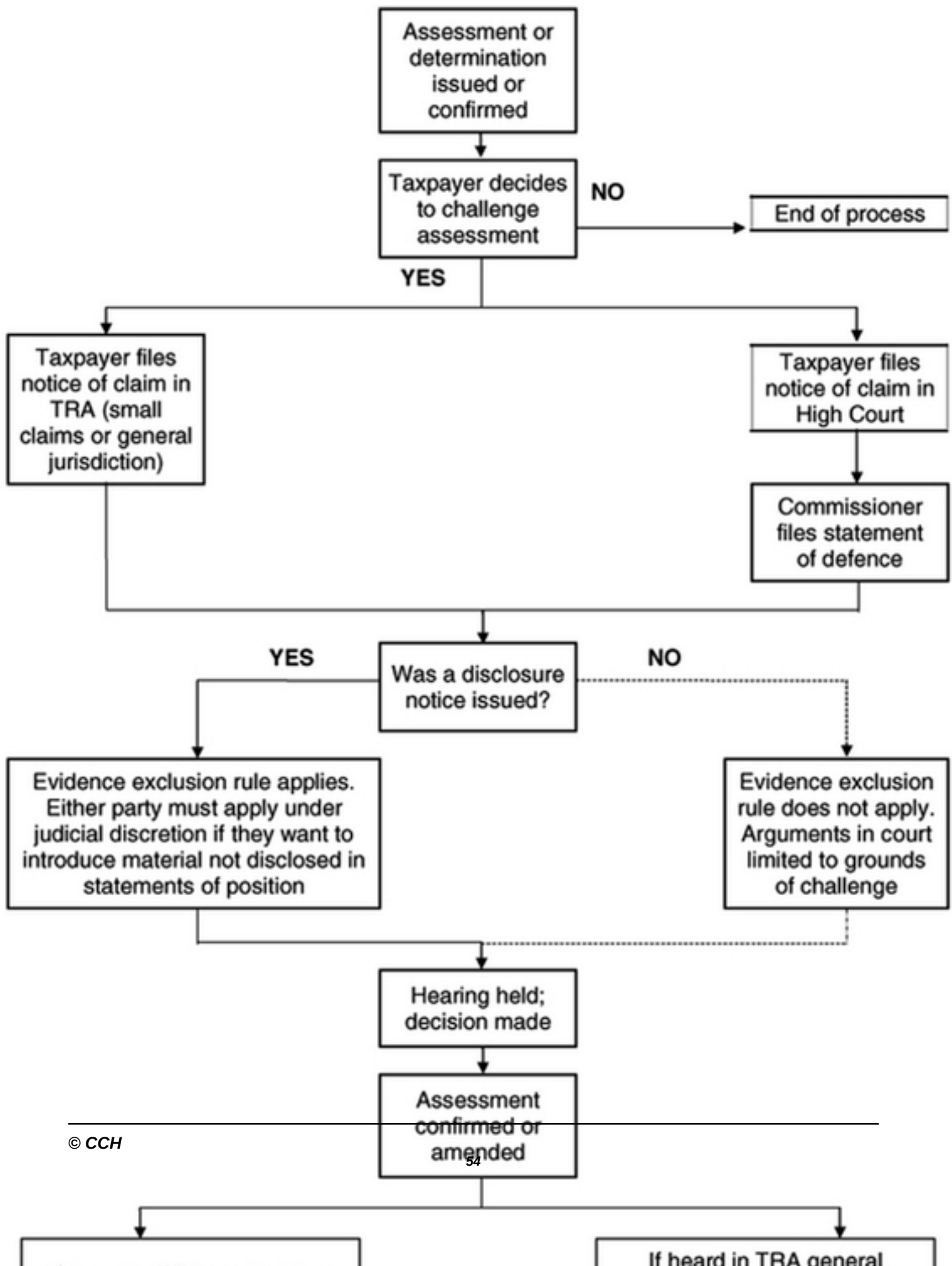
Last reviewed on 31 December 2025

Summary of challenge process [¶4-220]

[¶4-220]

[Click to open document in a browser](#)

The following diagram, reproduced from *Tax Information Bulletin* [¶83-106 Vol 8, No 3](#), August 1996 at 8, shows the procedure usually followed when the taxpayer wishes to pursue an assessment or determination before a court.



Note that from 1 April 2005, the Commissioner is generally required to issue a disclosure notice ([14-185](#)).
Note that from 29 August 2011, the small claims jurisdiction was abolished.

Last reviewed on 31 December 2025

Commencing challenge proceedings [¶4-225]

[¶4-225]

[Click to open document in a browser](#)

A taxpayer who disagrees with an assessment issued following the disputes process may challenge that decision by filing proceedings with the TRA or the High Court, provided that:

- # The assessment includes an adjustment proposed by the Commissioner that the taxpayer, or the taxpayer's look-through company (LTC), has rejected within the 2-month response period or was the subject of an adjustment proposed by the taxpayer that the Commissioner has rejected within the response period.

- # The proceedings are filed with the TRA or the High Court within 2 months of the date of assessment or determination. If the taxpayer issued a NOPA and the Commissioner decided not to amend the assessment, proceedings must be issued within 2 months of the date that the taxpayer was notified of the decision. The beginning of the 2-month period in which the taxpayer must file proceedings is not limited to the date of the Commissioner's NOP.

A disputant is also entitled to challenge a disputable decision that is not an assessment by commencing proceedings in the TRA or the High Court if:

- # the disputable decision was the subject of an adjustment proposed by the disputant that the Commissioner has rejected, and

- # proceedings are filed within the 2-month response period for the notice from the Commissioner rejecting the proposed adjustment.

Non-disputable decisions

Not all decisions taken by the Commissioner are disputable decisions and subject to challenge. A decision to apply one of the exceptions to the time bar provisions and "re-open" tax assessments is not a disputable decision in the absence of an assessment by the Commissioner: *Vinelight Nominees Ltd v CIR (No 2)* (2005) 22 NZTC 19,519 (HC).

Other decisions that are not disputable decisions are decisions:

- # to decline to issue a binding ruling

- # that cannot be the subject of an objection or a challenge

- # to issue a Commissioner's NOPA under s 89B, a Commissioner's disclosure notice or SOP under s 89M, or a challenge notice

- # to issue, or to decline to issue, a Commissioner's COVID-19 response variation under s 6I

- # to make, or to decline to make, a grant under the cost of living payments scheme under s 7AAA

- # to grant, or to decline to grant, a loan under the small business cashflow scheme under s 7AA, or

- # to make, or decline to make, a grant under the COVID-19 resurgence support payments scheme under s 7AAB.

In Case W16 (2003) 21 NZTC 11,156, the Commissioner argued that the taxpayer had failed to comply with s 138B of the TAA by not giving the Commissioner a NOPA within the 2-month period required. The Authority rejected this argument, and the Commissioner applied for a judicial review of the TRA decision in *C of IR v Taxation Review Authority* (2004) 21 NZTC 18,634. The High Court held:

- # an exchange of a NOPA and a NOR was essential to achieving the purposes of the dispute resolution process (this had to be done before a taxpayer could bring a challenge proceeding)

- # the wording of s 138B(1) suggests that an adjustment proposed and rejected before the issuing of an assessment is a separate and tentative step, and

- # it is the assessment, once dispute rights are exhausted or have expired, which is final.

In Case X2 (2005) 22 NZTC 12,056 the TRA held that a taxpayer could not proceed with challenge proceedings because the taxpayer's NOPA was filed out of time. Further, the Authority agreed with the

Commissioner that, with the introduction of self-assessment, the response period was triggered by the taxpayer's own self-assessment.

In *C of IR v Taxation Review Authority* (2004) 21 NZTC 18,707, the High Court held that s 138B applies to default assessments. If this were not the case, a defaulting taxpayer would be placed at an advantage over other taxpayers who had filed a return. This decision was affirmed in the Court of Appeal in *Allen v C of IR* (2005) 22 NZTC 19,473. The Supreme Court affirmed the decision of the High Court and noted that there was no general obligation to dispute an assessment. However, if a taxpayer wished to dispute an assessment, the disputes procedures must be complied with and that involved the filing of a return and the issuing of a NOPA (*Allen v C of IR* (2006) 22 NZTC 19,827).

In *C of IR v Zentrum Holdings Ltd* (2006) 22 NZTC 19,912, the Court of Appeal held that, where no disclosure notice has been issued, there was no rule expressly limiting an objector on appeal to the grounds stated in the objection. However, where a disclosure notice has been issued and the taxpayer subsequently challenges the assessment, the matters in issue are limited to the legal and factual matters identified in the statements of position, but all of those issues are legitimate matters of dispute in the challenge proceedings. In *Beckham v C of IR* (2007) 23 NZTC 21,499, it was held that the TRA could assess an appellant on different grounds to those on which a challenged assessment was based, as the different grounds formed part of the "subject matter" of the disputable decision being challenged.

Exceptional circumstances

If the TRA or the High Court considers that exceptional circumstances have prevented a taxpayer or their agent from issuing proceedings within the 2-month period, the taxpayer or agent will be allowed to start a challenge. An exceptional circumstance is defined as an event or circumstance beyond the taxpayer's control that provides the taxpayer with a reasonable justification for not complying with the time limit. An act or omission of the taxpayer's agent is not an exceptional circumstance unless it was caused by events beyond the agent's control that could not be anticipated, and the effect of which could not have been avoided if the accepted standards of business organisation and professional conduct were followed.

Example:

The taxpayer's application for leave to commence proceedings 5 months out of time because of a misunderstanding and erroneous assumption by the taxpayer's agent was held not to constitute "exceptional circumstances" that were "beyond the control of the applicant" in terms of s 138D of the TAA. See *Milburn New Zealand Ltd v C of IR* (1998) 18 NZTC 14,005. Also see Case V1 (2001) 20 NZTC 10,001.

Example:

Exceptional circumstances justified the taxpayer's agent not having commenced challenge proceedings within the designated response period. Several actions taken by IR were found to have led to confusion and could not have been anticipated by an agent complying with accepted standards of business organisation and business conduct. See *Treasury Technology Holdings Ltd v C of IR* (1998) 18 NZTC 13,752. Compare this with *C of IR v Fuji Xerox NZ Ltd* (2002) 20 NZTC 17,470 (CA). This case also interprets the term "agent" in s 138D of the TAA.

See also Case U35 (2000) 19 NZTC 9,330 for a discussion of exceptional circumstances in terms of reg 25(2) of the Taxation Review Authority Regulations 1998.

Shortened process for taxpayer-initiated disputes

In limited circumstances the disputes process can be shortened (also referred to as being truncated) and can proceed to challenge in the TRA or the High Court. Section 138B(4) of the TAA is intended to be a mirror of the provisions under which the Commissioner can truncate a dispute. The taxpayer must notify the Commissioner of the proposed adjustment and identify how the adjustment fits into one of the following categories:

the adjustment is in relation to a matter for which the material facts and relevant law are identical to those for another assessment for the taxpayer for another period that is the subject of court proceedings, or

the adjustment corrects a tax position taken by the taxpayer, or an associated person, as a consequence or result of an incorrect tax position taken by another taxpayer that is, or was, the subject of court proceedings.

This process is intended to allow these subsequent disputes to be fast-tracked and catch up to the main dispute so that the TRA or court can consolidate the disputes if it sees fit to do so.

Law: TAA ss [138B](#), [138C](#), [138D](#)

Last reviewed on 31 December 2025

Payment of tax in dispute when taxpayer has challenged assessment [¶4-230]

[¶4-230]

[Click to open document in a browser](#)

Briefly, a taxpayer who has challenged an assessment is not required to pay:

- # the deferrable tax
- # a shortfall penalty in respect of any tax in dispute, or
- # the interest accruing on the deferrable tax or shortfall penalty

until the due date for payment of that deferrable tax. Deferrable tax is the tax assessed as payable under a tax law, or the GST payable by the taxpayer on a due date, and for which the taxpayer has filed a challenge.

However, payment of all tax in dispute may be required if the Commissioner considers that, in the event the taxpayer's challenge does not succeed, there is a significant risk that the tax in dispute will not be paid.

If the taxpayer is successful, the Commissioner must refund (or pay to, or apply on behalf of, the taxpayer) the tax in dispute paid as required and any accrued interest. This refund, payment or application must be made on the day after the day that the final liability is determined.

See ss [128\(2\)–\(4\)](#) and [138I\(2\)](#) of the TAA.

Tax in dispute may be provided to the Commissioner by acceptable security if the taxpayer cannot pay the sum in cash (s [7A](#) of the TAA).

#Note: The previous rules for deferrable tax meant that when there were consequential amendments to related taxpayers, those taxpayers could not defer their tax. For example, a company may have part of its expenditure disallowed as a deduction, which alters the amount of a loss offset made to another company in the same group. In that situation, both entities must object to or challenge the assessments. This results in increased administrative and compliance costs for those taxpayers and lengthens the disputes process. With effect from 30 March 2021, an amendment now includes consequential amendments resulting from an amended assessment that is in the disputes process within the definition of deferrable tax.

Rate of interest

Interest continues to accrue on deferrable tax, even though a taxpayer has or may have no liability at the time to pay the deferrable tax (s [120T](#) of the TAA).

Refundable tax in dispute is treated as overpaid tax for the purposes of the interest regime under Pt 7 (ss [128\(3\)](#) and [138I\(3\)](#) of the TAA). This means that the amount of interest payable by the Commissioner on overpaid tax and by a taxpayer on unpaid tax is calculated for each day in the interest period in accordance with the formula (s [120E](#) of the TAA):

$$t \times r \div 365$$

where:

- t** is the unpaid or overpaid tax on which interest is payable, and
- r** is the Commissioner's paying rate or the taxpayer's paying rate applying on the day.

For the current interest rates, see CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026* ([¶50-083](#)).

Law: TAA ss [3\(1\)](#) ("deferrable tax"), [7A](#), [120E](#), [120T](#), [128](#), [138I](#)

Last reviewed on 31 December 2025

Settlement of tax litigation [¶4-232]

[¶4-232]

[Click to open document in a browser](#)

As a result of comments made by the Court of Appeal in *Auckland Gas Co Ltd v C of IR* (1999) 19 NZTC 15,027 (CA), IR revised its approach to reaching settlements in tax litigation. Previously, IR considered that its care and management responsibilities contained in s 6A of the TAA severely impeded its ability to settle tax matters. In *Auckland Gas*, the Court of Appeal did not accept the Commissioner's "restricted view" of his ability to settle tax disputes.

The Court of Appeal also discussed the ability of the Commissioner to compromise in order to settle tax disputes in *A-G v Steelfort Engineering Co Ltd* (1999) 1 NZCC ¶155-005 (CA) (a Customs Act case). The Court noted that the Commissioner has broad powers to enter into compromises where that is consistent with his duty under ss 6 and 6A of the TAA. *Accent Management Ltd v C of IR (No 2)* (2007) 23 NZTC 21,366 (CA) also confirms the Commissioner's power to settle cases commercially. See ¶1-520 for further discussion concerning the Commissioner's powers.

The Commissioner's duty to collect the highest net revenue over time is contained in s 6A (discussed above). In the context of settling tax disputes based on the perceived likelihood of success (litigation risk), IR considers that it can identify whether a proposed settlement meets this criterion only once the exact basis of dispute is identified and the "legitimate factual differences" are clear.

In addition to the above limitations, IR will only settle cases in which litigation has commenced, a SOP has been filed by the taxpayer and a specialist panel within IR has approved the settlement.

In *Bage Investments Ltd v C of IR* (2003) 21 NZTC 18,294, the High Court upheld a settlement agreement made between the parties which depended on the final outcome of the Court of Appeal decision in *C of IR v BNZ Investments Ltd* (2001) 20 NZTC 17,103 (CA). The taxpayer and the Commissioner were engaged in a long-running tax dispute. The facts and circumstances involved in the dispute were similar to those in the *BNZ* case. Following the High Court decision in the *BNZ* case ((2000) 19 NZTC 15,732, in which judgment was given for the taxpayer), the parties in *Bage* agreed that the Commissioner would withdraw the objection against the taxpayer "in the event the *BNZ* case is upheld on final appeal". The Court of Appeal decision in the *BNZ* case confirmed the High Court decision. The Commissioner and the taxpayer in *Bage* agreed that, for the purposes of their agreement, the Court of Appeal decision "upheld" the High Court's decision. The Commissioner and the *BNZ* settled their dispute out of court. An appeal by the Commissioner to the Privy Council regarding the *BNZ* case was therefore abandoned. In these circumstances, *Bage Investments Ltd* called on the Commissioner to honour the settlement agreement. The Commissioner refused, arguing that the *BNZ* case had not been resolved by the courts but rather by private settlement; therefore, the *BNZ* case was not "upheld on final appeal". The Commissioner's argument was rejected as it neither accorded with the plain words of the agreement nor made commercial sense.

Interpretation statement IS 25/26, "The Commissioner's duty of care and management – section 6A of the Tax Administration Act 1994" confirms that the Commissioner can enter into:

- # settlements where taxpayers dispute the interpretation of the law or facts on which their liability has been assessed. See *Accent Management Ltd v C of IR* (2006) 22 NZTC 19,758 (HC); *Accent Management Ltd v C of IR (No 2)* (2007) 23 NZTC 21,366 (CA), and
- # agreements as to the payment of outstanding tax, penalties and interest. See *Raynel v C of IR* (2004) 21 NZTC 18,583.

The Commissioner may consider the litigation risk and decide that the resources required to undertake litigation could be better used elsewhere to maximise the new revenue collected. In *Accent Management Ltd v C of IR (No 2)* (2007) 23 NZTC 21,366 (CA), William Young P held (at [15]):

The change in policy is justified by recognition that the Commissioner has limited resources and the function of collecting "over time the highest net revenue that is practicable within the law". Major tax litigation is expensive and places a heavy strain on the human resources available to the

Commissioner. The Commissioner must be permitted to make rational decisions as to how those resources can best be deployed. Further, “sensible litigation, including settlement, decisions” must necessarily allow for litigation risk.

The courts have recognised the Commissioner’s power to settle and thus given effect to a key outcome intended to be achieved by enacting s [6A](#) ([IS 25/26](#) at [122]–[131]).

IR’s policy on settling tax disputes before an assessment has been issued is discussed at [¶4-118](#).

Law: TAA s [6A](#)

Last reviewed on 31 December 2025

Powers of hearing authority [¶4-233]

[¶4-233]

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When hearing a challenge, the TRA or the High Court may (s [138P\(1\)](#) of the TAA):

- # confirm, cancel or vary an assessment
- # reduce the amount of an assessment
- # increase the amount of the assessment to the extent to which the Commissioner was able to make the increased assessment at the time the challenged assessment was made
- # make an assessment that the Commissioner was able to make at the time the Commissioner made the challenged assessment, or
- # direct the Commissioner to make such an assessment.

If it is proven, on the balance of probabilities, that the amount of an assessment is excessive by a specific amount, the Authority or High Court must reduce the assessment by that amount (s [138P\(1B\)](#)).

The assessments made or changes to the assessments made in accordance with the Authority or High Court decision are not subject to the 4-year time bar (s [138P\(5\)](#)).

If the challenge relates to a disputable decision that is not an assessment, the Authority or High Court must not make or alter the disputable decision and may direct the Commissioner to alter the decision to conform and give effect to the Authority's or High Court's decision (s [138P\(2\)](#)).

Unless the Authority or High Court's decision is under appeal, the Commissioner must make or amend an assessment or other disputable decision as determined by the Authority or High Court (s [138P\(3\)](#) and [\(4\)](#)).

The Authority exercised its right under s [138P](#) in Case X9 ([2005](#)) [22 NZTC 12,123](#) to make an assessment that the Commissioner was entitled to make but did not (Case X13 ([2005](#)) [22 NZTC 12,193](#)).

Law: TAA s [138P](#)

Last reviewed on 31 December 2025

Taxation and Charities Review Authority general jurisdiction [¶4-235]

[¶4-235]

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The Taxation Review Authorities Regulations 1998 set down the procedure to be followed when pursuing a challenge before the Authority.

Documents to be filed and served

The first step in challenging an assessment (or other disputable decision) is filing the notice of claim. The notice must be in the [form](#) approved by the chief executive of the Ministry of Justice. If the Commissioner has issued the taxpayer with a disclosure notice ([¶4-185](#)) relating to the assessment or disputable decision, the notice of claim must contain:

- # the Commissioner's SOP ([¶4-185](#))
- # the taxpayer's SOP
- # any written notice by the Commissioner of the disputable decision (eg the notice of assessment) and the reasons for the disputable decision, and
- # the taxpayer's physical address (to which documents can be officially served by the Commissioner).

If no disclosure notice has been issued to the taxpayer, they must include in the notice of claim the information that would have been in a SOP (in lieu of including the parties' actual statements). If no disclosure notice has been issued, the Commissioner must file and serve a notice of defence on the taxpayer within 25 days of being served with the notice of claim. The notice of defence must contain the information that the Commissioner would have had to include in the SOP.

Three copies of the notice of claim are to be filed with the Authority by delivering or posting them to the Authority at the Ministry of Justice. The notice can be delivered to:

The Registrar
Taxation and Charities Review Authority
Tribunals Unit
86 Customhouse Quay
Wellington 6011

Or posted to:

The Registrar
Taxation and Charities Review Authority
Tribunals Unit
SX 11159
Wellington.

The filing fee is \$552. The Authority is able to waive the fee if it is satisfied that the disputant is unable to pay the fee or the proceeding concerns a matter of genuine public interest and is unlikely to be commenced or continued unless the fee is waived.

Time limits

A taxpayer must file a notice of claim within 2 months of an assessment being issued or, when the taxpayer is challenging a disputable decision other than an assessment, within 2 months of the Commissioner issuing notice that the taxpayer's NOPA is rejected. In Case W53 ([2004](#)) 21 NZTC 11,493, the Authority held that filing notices of claim with the Authority was complete on posting.

The taxpayer must serve a copy of the notice of claim on the Commissioner within 10 working days of filing the notice with the Authority. Service of the notice (or any other document required to be served) must be served in one of the following ways: Delivery: Legal Services, Inland Revenue, Level 5, Asteron House, 55 Featherston Street, Wellington, 6011. Or postal: Legal Services, Inland Revenue, PO Box 2198, Wellington 6140.

Directions hearings and interlocutory applications

Before the Authority hears a case, there must be a preliminary directions hearing at a place and time appointed by the Authority no sooner than 90 working days after filing the notice of claim (or a date agreed between the parties). At this hearing, the Authority will want to know how long the Commissioner and the taxpayer think the hearing will last. Both the taxpayer (or the taxpayer's agent) and the Commissioner must attend the directions hearing, otherwise the challenge is deemed to be withdrawn unless leave is obtained to proceed with the hearing. The Authority has a discretion to allow a taxpayer to attend a directions hearing by means of a telephone conference link-up or by audio-visual link. The Authority will decide who pays the cost of the telephone conference.

As soon as possible after the directions hearing, the Authority will send a notice recording its directions to the parties. Either the Commissioner or the taxpayer may then ask the Authority to set a date for the challenge to be heard. The Authority will then send the taxpayer a notice setting a time and date for the hearing.

In addition to the directions hearing, either the taxpayer or the Commissioner can make an interlocutory application to the Authority at any time before a hearing. Interlocutory applications are usually made to sort out a preliminary matter (of evidence, fact or law) before the substantive hearing is held. Unless the interlocutory application involves a notice to admit facts or the issue of a witness summons, the applicant must file the application in writing with the Registrar of the Authority and serve a copy on the other party.

The hearing

At the hearing, the taxpayer may present their challenge personally or be represented by a solicitor, accountant or other person of the taxpayer's choice.

Taxation Review Authority hearings are not open to the public and, in most cases, costs are not awarded. The exceptions to this are if either party does not appear at the hearing, or abandons or settles the dispute without giving adequate notice, the Authority strikes out a proceeding (see below), or the costs awarded relate to the filing fees paid by the objector or disputant. After the hearing, the Authority must give its decision in writing and state the reasons for the decision.

The decision does not contain the taxpayer's name or, as a general rule, any other information likely to identify the taxpayer.

The Authority has the power to determine a proceeding on the papers if the Authority considers it appropriate. However, before doing so, the parties must be given the opportunity to comment on whether the proceeding should be dealt with in that manner.

The hearing of a matter may be conducted by telephone, audio-visual link or other remote access facility if the Authority considers it appropriate and the necessary facilities are available.

An Authority may strike out a proceeding if satisfied that it:

- # discloses no reasonable cause of action
- # is likely to cause prejudice or delay
- # is frivolous or vexatious, or
- # is otherwise an abuse of process.

If a party is neither present nor represented at the hearing, an Authority may:

- # if the party is required to be present, strike out the proceeding
- # determine the proceeding in the absence of the party, or

adjourn the hearing.

Transfer to the High Court

The Commissioner can apply to have a challenge transferred to the High Court (s [138N\(2\)](#) of the TAA). For a discussion of the exercise of the High Court's discretion when an application for transfer to the High Court is made by the Commissioner, see *C of IR v Skudder (No 2)* ([2008](#)) [23 NZTC 21,846](#). In that case the High Court declined the Commissioner's application for a challenge to be transferred from the TRA.

Law: TAA s [138N\(2\)](#); TRA regs [7–13](#), [26–34](#); TRY ss [13A](#), [16](#), [20A](#), [20B](#), [21A](#), [22](#), [22B](#), [25](#)

Last reviewed on 31 December 2025

High Court jurisdiction [¶4-245]

[¶4-245]

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For taxpayers filing a challenge in the High Court, the procedure is as follows:

- # the taxpayer files statement of claim (completed in accordance with the High Court Rules) and notice of proceeding, and pays the filing fee, all within the 2-month response period
- # the taxpayer serves copies of the statement of claim and notice of proceeding on IR's Director of Litigation Management as soon as practicable after they are filed (either by post or in-person) at the addresses shown below, and
- # the Commissioner files a statement of defence within 25 days after the date of service of the statement of claim and notice of proceeding.

Section [17](#) of the Taxation Review Authorities Act 1994 allows the TRA to receive evidence that would not ordinarily be admissible in a court of law. This relaxation of the rules of evidence previously extended to cases stated under Pt [8](#) of the TAA, which were heard in the High Court (s [136\(16\)](#)). However, there is no comparable provision dealing with challenges heard in the High Court under Pt [8A](#). It appears that evidence in High Court challenges is subject to the rules of admissibility governing ordinary civil proceedings unless the Commissioner and the taxpayer agree that these are to be waived.

Note that the evidence exclusion rule applies in respect of High Court proceedings ([¶4-190](#)). Also, security for costs may be awarded by the High Court in tax cases just as in any civil case: see *Reefdale Investments Ltd v C of IR* (2004) 21 NZTC 18,683.

The Commissioner's address for service is:

Delivery

Legal Services
Inland Revenue
Level 5
Asteron House
55 Featherston Street
Wellington 6011.

Postal

Legal Services
Inland Revenue
PO Box 2198
Wellington 6140.

Last reviewed on 31 December 2025

Test case procedures [¶4-250]

[¶4-250]

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When the Commissioner considers that a challenge may be determinative of all or a substantial number of issues involved in other challenges, that challenge may be designated as a test case. Test cases are to be heard in the High Court.

When a test case has been designated, the Commissioner may stay proceedings on other challenges by notifying the taxpayers concerned. The Commissioner may only stay proceedings where:

- # the test case is considered to be determinative of all or a substantial number of the issues in the challenge proposed to be stayed, and
- # the challenge proposed to be stayed has not yet been determined by the hearing authority.

The taxpayer may contest the stay at any time by issuing a notice requiring the challenge to be heard. The Commissioner may, within 14 days of receiving the taxpayer's notice, apply to the High Court for an order that the challenge be stayed. In *Bage Investments Ltd v C of IR* (1999) 19 NZTC 15,531 the High Court set out principles relevant when considering an application for a stay. Justice Chambers noted that the list was neither exhaustive nor definitive. Also see *C of IR v Erris Promotions*; *Wilson and Black Associates Ltd v C of IR*; *C of IR v West Coast Developments Ltd* (2002) 20 NZTC 17,977 (CA), *C of IR v A Taxpayer* (2003) 21 NZTC 18,001 and *B v C of IR*; *C of IR v Multiple Taxpayers* (2004) 21 NZTC 18,404.

Suspension of the disputes resolution process

A disputant and the Commissioner may agree in writing to suspend the proceedings in a dispute if there is significant similarity between the facts and questions of law in the dispute and facts and questions of law in a test case (the test case being a separate challenge). A suspension of the dispute resolution process begins on the date of the agreement and ends on the earliest of the following:

- # the date of the court's decision in the test case
- # the date on which the test case is otherwise resolved, or
- # the date on which the dispute is otherwise resolved.

The Commissioner can make an assessment or perform an action in relation to a suspended dispute that is consistent with the resolution of the test case.

Time limit for the Commissioner to amend assessment

If a dispute resolution process is suspended pending the decision in a test case, the Commissioner is required to make an amended assessment or perform an action in relation to the suspended dispute by the later of (*Tax Information Bulletin* ¶185-120 Vol 18, No 5, June 2006 at 137):

- # the day that is 60 days after the last day of the suspension, or
- # the last day of the period that:
 - # begins on the day following the day by which the Commissioner, in the absence of the suspension, would be required under the Inland Revenue Acts (listed in Sch 1 to the TAA) to make the amended assessment or perform the action, and
 - # contains the same number of days as the suspension period.

Law: TAA ss [89O](#), [137](#), [138Q](#), [138R](#)

Last reviewed on 31 December 2025

Appeal from Taxation Review Authority to High Court [¶4-260]

[¶4-260]

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An appeal against a TRA decision determining a challenge is made under s [26A](#) of the Taxation Review Authorities Act. This section applies to challenges brought under Pt [8A](#) of the TAA.

Generally, an appeal to the High Court in respect of a challenge may be brought as of right if:

- # a question of law, or
- # the amount of tax involved in the appeal is \$2,000 or more, or
- # the amount of net loss is \$4,000 or more.

There is an exception: there is no appeal if the TRA has made a determination under a tax law that provides for the Authority's determination to be final.

The procedure to be followed when filing an appeal against the determination of a challenge is set out in the High Court Rules. In *C of IR v Dick* ([\(2000\) 19 NZTC 15,849](#)) the High Court held that Pt X of the High Court Rules (now Pt 20) require:

- # the filing of the notice of appeal with the High Court registry and the service of a copy of the notice on the Taxation Review Authority Registrar
- # the service on the other party to the appeal within one month of the date of the TRA decision, and
- # the completeness of the contents of the notice of appeal.

Time for lodging appeal

A party who wishes to appeal the determination of a challenge, and who is entitled to do so, must lodge a notice of appeal with the High Court and file a copy with the TRA. Under r 20.4(2) of the High Court Rules, the notice of appeal must be lodged within 20 working days of the Authority's written decision. The 20-working-day time limit must be observed unless special leave to extend the time to appeal is obtained under r 20.4(3).

There is no right of appeal against an interlocutory ruling of a TRA until the ruling forms part of the Authority's final determination of the objection or challenge: Case U41 ([\(2000\) 19 NZTC 9,380](#)).

Law: HC rr 20.3–20.8; TRY s [26A](#)

Last reviewed on 31 December 2025

Appeal to Court of Appeal [¶4-265]

[¶4-265]

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Either party may appeal to the Court of Appeal from a determination of the High Court when that court is the court of first instance, hearing a case under ss [24](#), [26](#) and [26A](#) of the Taxation Review Authorities Act 1994. The appeal may be on a question of fact, or law, or both. Either party may appeal to the Court of Appeal from a determination of the High Court on a case stated on a question of law by the TRA, whether the case was stated before the Authority's determination or afterwards on an appeal. An appeal lies to the Court of Appeal on questions of law, or fact, or both, from a determination of the High Court on an appeal from the Authority on a question of fact or fact and law. However, the Court of Appeal will be reluctant to consider fresh points.

Example:

In a case concerning a partner's entitlement to an interest deduction, the Commissioner was prevented by the Court of Appeal from raising an argument regarding the nexus between the interest expense and the production of assessable income not raised previously in the lower courts. See *Finnigan v C of IR* ([1995](#)) [17 NZTC 12,170 \(CA\)](#).

Costs

In any proceeding on objection before the courts, the courts may award costs against either party. This includes proceedings on a reference by the Authority on a point of law.

Time limits

Either party wishing to appeal a High Court decision to the Court of Appeal must notify the High Court in writing within 20 working days of the date the High Court delivers its decision.

Law: TRY ss [28](#), [29](#)

Last reviewed on 31 December 2025

Appeal to Supreme Court [¶4-270]

[¶4-270]

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An appeal to the Supreme Court can be heard only with the court's leave. Leave will not be given unless the court is satisfied that it is necessary in the interests of justice for the court to hear and determine the proposed appeal. Leave to appeal will be given if any of the following criteria apply:

- # the appeal involves a matter of general or public importance
- # a substantial miscarriage of justice may have occurred or may occur unless the appeal is heard, or
- # the appeal involves a matter of general commercial significance.

Generally, there is no right to appeal directly to the Supreme Court from a court other than the Court of Appeal. However, a direct appeal may be accepted if exceptional circumstances are established.

Leave to appeal to the Supreme Court must be made in the prescribed form within 20 working days after the date of the decision against which a party wishes to appeal. An application for leave to appeal is made when the application is filed in the registry of the Supreme Court (the registry) and a copy of the application is served on every person who is a party to the proceeding in the court appealed from. An application may be filed in the registry by delivering it to the registry by hand or sending it by mail.

Law: Senior Courts Act 2016 Pt 4; SCR rr 11–13, Sch 1

Last reviewed on 31 December 2025

Judicial review procedure [¶4-275]

[¶4-275]

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Under s [109](#) of the TAA, a disputable decision made by the Commissioner cannot be disputed in any proceedings except the objection proceedings under Pt [8](#) or a challenge under Pt [8A](#) of the TAA. (A disputable decision is an assessment or some other decision made by the Commissioner that is open to objection or challenge proceedings and includes certain discretionary powers available to the Commissioner in the disputes resolution process.) The section further provides that, with the exception of those procedures, a disputable decision and all its particulars are conclusively deemed to be correct. This has the consequence, for example, that in proceedings for the recovery of tax shown to be owing under an assessment it would be no defence to allege that the tax was not properly payable.

Judicial review is authorised in general terms by the Judicial Review Procedure Act 2016. That Act sets out procedural provisions for the judicial review of the exercise, failure to exercise, and proposed or purported exercise of a statutory power. It authorises the High Court to grant any relief that an applicant would have been entitled to in proceedings for a writ of mandamus, prohibition or certiorari, or for a declaration or injunction. This is when the relief would have been available in relation to the exercise, the refusal to exercise or the proposed or purported exercise by any person of a statutory power. If an application is successful, the court may not only declare that the impugned decision is unauthorised or otherwise lawful but also set aside the decision. Furthermore, the court may direct the decision-maker to reconsider any aspect of their decision. That correction may be accompanied by such other directions as the court thinks just. The matter is then to be reconsidered by the decision-maker.

The question of whether the judicial review procedure is available (despite the wide terms of s [109](#) of the TAA) to challenge tax assessments made by the Commissioner has been reviewed in many cases, for example:

An application for judicial review of the decisions made by the TRA, the High Court and the Court of Appeal in respect of the JG Russell scheme was dismissed by the Privy Council in *O'Neil v C of IR* (2001) 20 NZTC 17,051 (PC). The Privy Council noted that judicial review should be granted only in exceptional circumstances. Such exceptional circumstances may arise when there is abuse of power or when the error of law claimed was fatal to the exercise of the statutory power, and it would be wasteful to require recourse to the objection procedure. The Court of Appeal reaffirmed these principles in *Westpac Banking Corporation v C of IR* (2009) 24 NZTC 23,340 (CA) at [59].

On application for judicial review, the High Court set aside the decision of the TRA in Case U35 (2000) 19 NZTC 9,330, and referred it back to the Authority for reconsideration. The High Court held that the Authority made errors of law in its judgment. See *M & J Wetherill Co Ltd v Taxation Review Authority* (2001) 20 NZTC 17,166 (HC). Application for judicial review was dismissed by the Court of Appeal in *M & J Wetherill Co Ltd v Taxation Review Authority; C of IR v M & J Wetherill Co Ltd* (2002) 20 NZTC 17,624 (CA). Application for leave to appeal to the Privy Council was dismissed in *M & J Wetherill Co Ltd v Taxation Review Authority; C of IR v M & J Wetherill Co Ltd* (2002) 20 NZTC 17,681 (CA). See also *M & J Wetherill Co Ltd v Taxation Review Authority* (2004) 21 NZTC 18,924 (CA).

In a case in which a taxpayer sought judicial review of taxation assessments, the High Court confirmed that judicial review is concerned not with the correctness of a decision but with the process or means by which it is made. See *Douglas v C of IR* (2000) 19 NZTC 15,971.

Other judicial review cases include *Ch'elle Properties (NZ) Ltd v C of IR* (2005) 22 NZTC 19,622; *W v C of IR* (2005) 22 NZTC 19,602; *Hollis v C of IR* (2005) 22 NZTC 19,570; *Wire Supplies Ltd v TRA* (2005) 22 NZTC 19,395; *Wire Supplies Ltd v TRA (No 2)* (2005) 22 NZTC 19,401; *Allen v C of IR* (2005) 22 NZTC 19,473 (CA); *Allen v C of IR* (2006) 22 NZTC 19,827 and *C of IR v Chesterfield Preschools Ltd (No 2)* (2010) 24 NZTC 24,500.

Law: TAA ss [3\(1\)](#) ("disputable decision"), [6A](#), [109](#); Judicial Review Procedure Act 2016

Last reviewed on 31 December 2025